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Wire & Cable | Japan

Share Price Correction, but Fundamentals Strong

Uncertainty remains over the macro environment and slowing share price momentum, but investment in AI data centers (DCs) by hyperscalers has picked up in 2026. We raise PT for SEI, lower PT for Fujikura, stay OW on Furukawa.

Fundamentals for DC-related products remain strong; maintain Attractive

industry view: Despite lingering macro uncertainties and faltering share price momentum (incl. Middle East tensions, recent correction in AI/semis stocks), continued robust AI DC investment remains a tailwind. In 2026, we expect high 2-digit growth in hyperscaler capex (87% YoY). We also expect broader adoption of products for CPO ahead, and think increased mix of high-value-added products together with new product ramp-ups are likely earnings drivers for W&C names. Meanwhile, supply/demand in optical products remains tight. Although price hikes could drive margin expansion, no material margin improvement attributable to price increases has been confirmed at this stage. Accordingly, our forecasts are based on conservative assumptions of related margin improvement. That said, materialization of improvement would suggest earnings upside. Share prices are currently trending lower as a pull back from prior rapid gains and due to receding expectations for US rate cuts, but we expect bullish industry sentiment to grow again after the correction and heading into hyperscaler results in late July.

Ranking intact: Furukawa (OW)>SEI (EW)>Fujikura (EW): While all 3 stand to benefit from Gen AI-driven growth in DC demand, our stock selection focuses on: 1) earnings growth, 2) production capacity (or related investment) supporting growth, and 3) gaps vs consensus. We believe **Furukawa** is set to start delivering record earnings with strong profit growth. We project OP CAGR for F3/27-29 at 4.21%, highest of the 3. For **SEI**, we raise our earnings growth outlook, reflecting greater confidence in the pace of expansion in optical-related products. Surplus capacity in preform production is a competitive edge too. However, consensus jumped after recent F3/26 results, limiting upside from here. For **Fujikura**, high profitability looks sustainable, but production capacity is a likely bottleneck, and we expect volume growth in products like optical cables to slow, so lower our forecasts somewhat. We expect a return to growth once growth investments begin contributing, but F3/29 consensus remains somewhat elevated.

Where we could be wrong: If capex by hyperscalers were to decelerate due to power/infrastructure constraints or a macroeconomic slowdown, multiples could contract more than downward revisions to forecasts. For Furukawa, growth could slow if product certification by hyperscalers were delayed more than expected. Fujikura's share price could see upside if investments in capacity expansion are brought forward more than we have anticipated or if greater-than-expected margin improvement driven by price increases materializes.

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Japan Industry View Attractive

WHAT'S CHANGED

Sumitomo Electric (5802.T)	From	To
Price Target	¥11,000	¥14,500
Fujikura (5803.T)	From	To
Price Target	¥5,200	¥4,700

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Order of Preference

Exhibit 1: Order of Preference

	Furukawa Electric 5801.T	Sumitomo Electric 5802.T	Fujikura 5803.T
Rating	Overweight	Equal-weight	Equal-weight
Trading Currency	JPY	JPY	JPY
Price Target	66,000	14,500	4,700
Current Price	40,780	10,250	4,142
Upside/(Downside) (%)	62%	41%	13%
Market Cap (in USD mm)	15,874.7	46,829.9	51,418.0
Avg Daily Traded Vol (in USD mm)	772.5	269.9	1,943.9
Street View: Ratings			
Buy/Overweight	 75%	 77%	 93%
Hold/Equal-weight	 25%	 23%	 7%
Sell/Underweight	 0%	 0%	 0%
Bull Case Value	81,000	18,500	6,400
Upside (%)	99%	80%	55%
Bear Case Value	29,000	9,000	2,600
Downside (%)	-29%	-12%	-37%
Risk/Reward Skew	3.4	6.6	1.5
Morgan Stanley Estimates			
FY26e	JPY	JPY	JPY
Sales	1,493,900	5,186,100	1,348,688
EBITDA	150,000	680,000	282,300
EBIT	100,000	445,000	260,000
EPS	1,189.4	424.8	113.3
FY27e			
Sales	1,747,260	5,516,500	1,443,132
EBITDA	214,500	800,000	334,300
EBIT	158,000	555,000	310,000
EPS	1,909.1	526.3	136.3
FY26 MSe vs. Consensus Mean			
Sales	3.6%	-1.1%	0.5%
EBITDA	4.9%	0.4%	-3.8%
EBIT	24.5%	-7.3%	-11.9%
EPS	6.2%	-0.6%	-6.5%
FY27 MSe vs. Consensus Mean			
Sales	7.1%	-1.0%	-6.7%
EBITDA	10.7%	1.4%	-10.9%
EBIT	9.0%	-7.5%	NA
EPS	15.0%	1.9%	-12.0%
Valuation Multiples at Last Close			
FY26e			
P/E	34.3x	24.1x	36.6x
EV/EBIT	32.2x	18.7x	26.4x
EV/EBITDA	21.4x	12.3x	24.3x
EV/Sales	2.2x	1.6x	5.1x
FCF Yield	-3.2%	2.4%	0.2%
FY27e			
P/E	21.4x	19.5x	30.4x
EV/EBIT	20.7x	14.9x	22.2x
EV/EBITDA	15.3x	10.3x	20.6x
EV/Sales	1.9x	1.5x	4.8x
FCF Yield	-2.9%	2.7%	1.1%
Implied Multiples on MS Price Target			
FY26e			
P/E	55.5x	34.1x	41.5x
EV/EBIT	49.9x	26.2x	30.0x
EV/EBITDA	33.3x	17.1x	27.6x
EV/Sales	3.3x	2.2x	5.8x
FY27e			
P/E	34.6x	27.5x	34.5x
EV/EBIT	29.5x	20.5x	25.3x
EV/EBITDA	21.7x	14.2x	23.4x
EV/Sales	2.7x	2.1x	5.4x
Stock Price Performance			
1 Month	-6.1%	-8.6%	-39.4%
3 Month	37.1%	-4.3%	-3.1%
1 Year	500.3%	251.1%	272.0%
YTD	307.4%	62.1%	42.5%

Source: Morgan Stanley Research, FactSet (consensus mean), e = Morgan Stanley Research estimates, Stock prices as of Jun 11, 2026, Note: Past performance is no guarantee of future results. Results shown do not include transaction costs.

Investment summary

Earnings forecast revisions

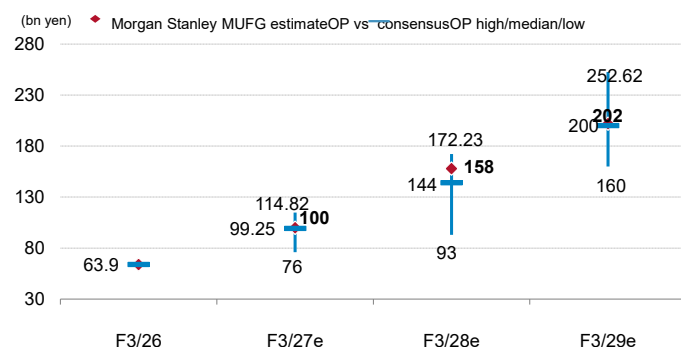
Furukawa Electric (5801): We revised our forecasts earlier in our June 3 IDEA report (see [here](#) for details). **Our F3/27 OP forecast is ¥100bn (company plan ¥95bn), +56.6% YoY.** We forecast optical solutions at ¥29.9bn (+¥19.2bn YoY) and digital infrastructure components at ¥39.5bn (+¥23.6bn YoY). Increased sales of ultra-high fiber count cables, MT ferrules, and liquid cooling modules are the main drivers of profit growth. **Our OP forecast is ¥158bn (+58% YoY) for F3/28 and ¥202bn (+27.8% YoY; company medium-term plan ¥170bn) for F3/29.** We forecast sales of liquid cooling modules at ¥50bn in F3/27, ¥190bn in F3/28, and ¥300bn in F3/29. Our projected OP CAGR for F3/27-29 is 42.1%.

Sumitomo Electric (5802): We raise our F3/27 OP forecast from ¥435bn to ¥445bn (+13.9% YoY; company plan ¥425bn). Versus our previous forecast, we slightly revise up the infocommunications and automotive segments. In infocommunications, we factor in increased sales of products for data centers. While we revise up automotive segment, we expect downside versus the company plan in light of worsening Middle East conditions. **We raise our F3/28 OP forecast from ¥505bn to ¥555bn (+24.7% YoY).** Versus our previous forecast, we revise up both infocommunications and automotive. In infocommunications, we factor in further expansion of optical connectors, optical cables, and optical devices. We see the main drivers of profit growth, as in F3/27, as further infocommunications sales expansion and margin improvement from price increases. In the environment & energy segment, we factor in profit contributions from overseas power generation projects. In automotive, we factor in contributions from splitter harnesses, productivity improvements, and a higher mix of high value-added products, and continue to assume margin improvement, albeit modest, as in our previous forecast. **We raise our F3/29 OP forecast from ¥565bn to ¥635bn (+11.9% YoY; company medium-term plan: ¥650bn).** We see the main driver of YoY profit growth as expansion in optical connectors, optical cables, and optical devices. In particular, the company's CW-LD (continuous-wave laser diodes) have a high market share and benefit from vertically integrated production on an indium phosphide platform. Relative to the company's medium-term plan, we expect upside in infocommunications, while we expect downside in automotive as we do not believe the probability of further margin improvement has increased sufficiently.

Fujikura (5803): We lower our F3/27 OP forecast from ¥280bn to ¥260bn (+37.8% YoY; company plan ¥211bn). While we do not believe the risk of optical fiber production constraints due to hydrogen shortages is severe, we newly factor in a risk of roughly a 10% reduction in SWR/WTC (Spider Web Ribbon/Wrapping Tube Cable) sales volumes versus our previous forecast. The company is procuring additional liquid and compressed hydrogen and expanding in-house hydrogen generation facilities, and we believe hydrogen shortage risks will be resolved from F3/28. **We lower our F3/28 OP forecast from ¥335bn to ¥310bn (+19.2% YoY).** Due to optical fiber production constraints, we expect SWR/WTC sales volume growth to slow to +10% YoY. Our view of slowing profit growth remains unchanged. **We lower our F3/29 OP forecast from ¥390bn to ¥370bn (+19.4% YoY; company medium-term plan ¥315bn).** From 2H, we expect part of the capacity

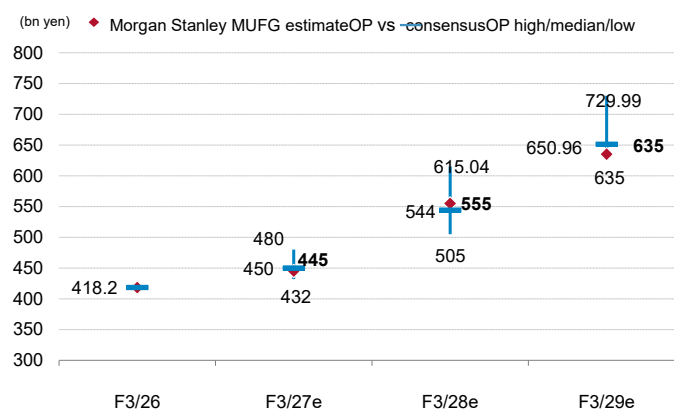
expansion effects to materialize. We forecast SWR/WTC sales volumes at +16% YoY. The company has already announced capacity expansion for preforms and optical fiber/cables (¥45bn + ¥40bn domestically + up to ¥260bn in capex in the US). It aims to increase optical fiber/cable capacity to roughly 4 times current levels by F3/31. The ¥260bn investment is to be executed in the US, although details have yet to be disclosed. We will watch for faster investment execution and an earlier start of operations.

Exhibit 2: Furukawa Electric (5801): OP MSe vs Consensus



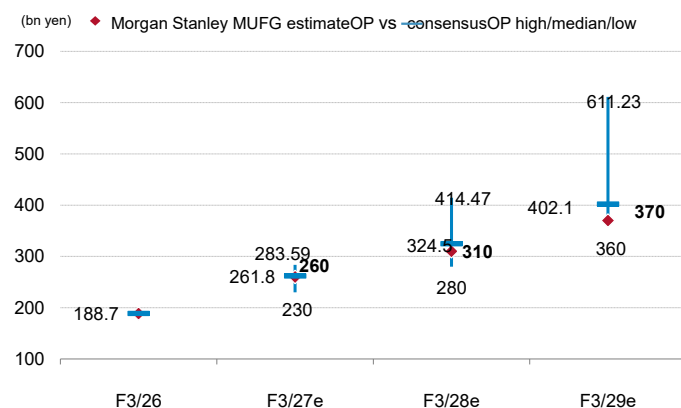
Source: e=Morgan Stanley Research estimates, FactSet, Consensus=FactSet consensus

Exhibit 3: Sumitomo Electric (5802): OP MSe vs Consensus



Source: e=Morgan Stanley Research estimates, FactSet, Consensus=FactSet consensus

Exhibit 4: Fujikura (5803): OP MSe vs Consensus



Source: e=Morgan Stanley Research estimates, FactSet, Consensus=FactSet consensus

Our outlook for the data center industry

In the data center market, we expect continued strong investment in AI data centers:

We used a 2026 cloud capex assumption for the 11 hyperscaler firms of +63% YoY for our previous forecasts. In their [May report](#), our **US IT team raised their 2026 forecast to +87%. We have therefore similarly raised our expectations.**

There are a wide range of reasons for this, including 1) the wider use of generative AI and large language models, 2) proactive investment by cloud service providers accompanying this (accelerated investment in AI-specific data centers and GPU clusters to enhance their own AI services), and 3) the spread of edge AI and hybrid AI. We expect approximately 75% of capex by hyperscalers to be directed towards AI infrastructure (data centers, GPU,

power infrastructure, etc.), and this vigorous investment to drive performance at wire & cable companies. In the latest earnings results, we also observed a more proactive stance by hyperscalers toward AI DC investments.

As generative AI advances, inference demand is expanding, increasing the importance of distributed AI infrastructure (such as regional data centers and edge locations) from the perspectives of low latency and data localization. As a result, demand for high-speed communication infrastructure, including optical connectors, is rising further, and is already manifesting in increased exports to Asia.

In addition, we expect to see the spread of distributed AI servers due to generative AI and LLMs requiring low latency and needing to comply with regional data regulations, a trend that has been evident in recent monthly export data.

Expect CPO (Co-Packaged Optics) to significantly increase unit usage of optical

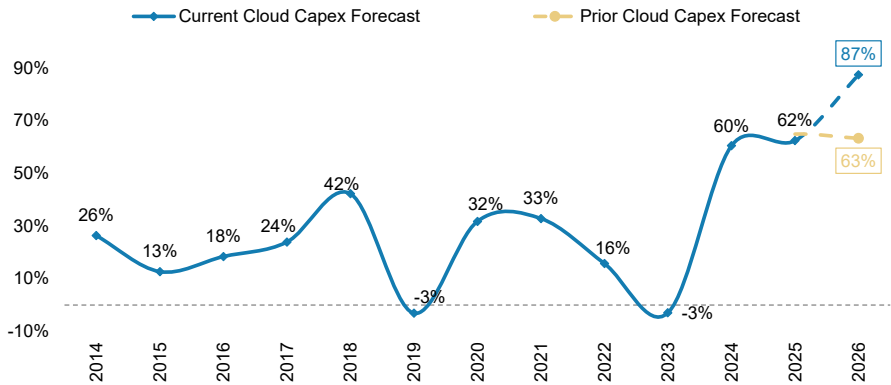
components: From F3/27, we think NVIDIA's next-generation Rubin GPU is likely to incorporate CPO, integrating optical components and semiconductor chips within the same package to achieve low power consumption, high bandwidth, and low latency. Under current InfiniBand switch specifications, the maximum configuration is 64 ports (400Gb/s x 64 for about 25.6Tb/s, or 800Gb/s x 64 for about 51.2Tb/s). With CPO, we look for the implementation of 128 ports of 800Gb/s (total bandwidth 102.4Tb/s), doubling port density compared to conventional designs (equivalent to 256 ports of 400Gb/s). Furthermore, in larger configurations, plans include using four CPO packages to implement 512 ports of 800Gb/s (409.6Tb/s) for ultra-large-scale switches. Therefore, we expect unit usage of optical components under CPO to increase dramatically from current levels. In simple terms, with CPO, pluggable modules that gathered optical lines together disappear, and optical fiber cores making up ports show up directly as external cabling. That results in a major increase in the number of optical fiber cores and the number of cable connection points per switch compared with earlier configurations. We think the biggest potential beneficiary in CPO is probably Sumitomo Electric, which develops optical devices (CW-LDs).

FX impact: Yen depreciation is positive for wire & cable companies. We estimate OP sensitivity to a ¥1 change in value against the US dollar as being almost ¥0.5bn for Furukawa Electric, ¥1bn for Sumitomo Electric, and ¥1.7bn for Fujikura.

Risk related to the Middle East: Helium gas is used in the preform manufacturing process for cooling, atmosphere control, and purging. However, we see limited risk as helium has a very high recovery rate (we estimate around 90%), and could possibly be replaced with nitrogen or argon, depending on the process. Helium production is largely concentrated in two countries, with about 45% (about 80mn m2) produced in the US and about 35% in Qatar.

Exhibit 5: Hyperscaler CAPEX YoY

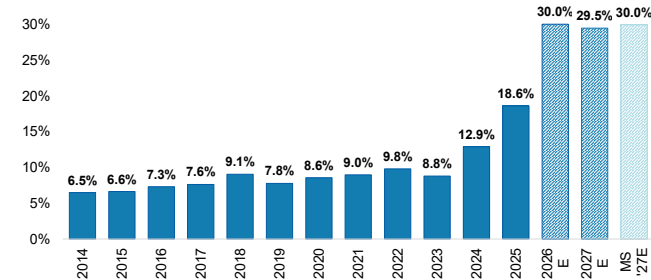
Top 14 Cloud Providers: Cloud Capex Y/Y Growth



Source: Company data, FactSet, Morgan Stanley Research, irs.gov. Note: Cloud capex includes capex from Amazon, Alphabet, Microsoft, Meta Platforms, Tencent, Baidu, Alibaba, CoreWeave, Apple, IBM, and Oracle

Exhibit 6: Hyperscaler capital intensity

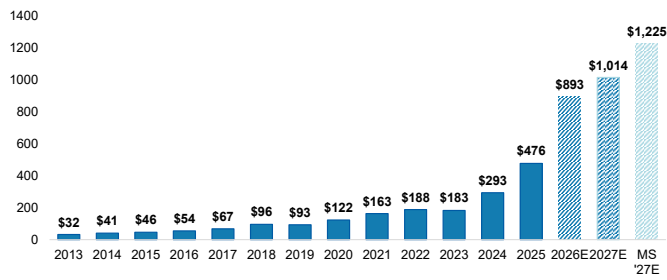
Top 14 Cloud Providers: Capital Intensity



Source: Company data, FactSet, Morgan Stanley Research; E=FactSet Consensus estimates, MSE is Morgan Stanley estimates. Note: Cloud capex includes capex from Alphabet, Amazon, Microsoft, Meta Platforms, Tencent, Baidu, Alibaba, CoreWeave, Apple, IBM, Oracle

Exhibit 7: Hyperscaler CAPEX

Cloud Capex Spending (\$ Billions)



Source: Company data, FactSet, Morgan Stanley Research; E=FactSet Consensus estimates, MSE is Morgan Stanley estimates. Note: Cloud capex includes capex from Alphabet, Amazon, Microsoft, Meta Platforms, Tencent, Baidu, Alibaba, CoreWeave, Apple, IBM, Oracle

Exhibit 8:

Port Count and Bandwidth Comparison Table (Conventional vs CPO)

Switch Type	Implementation	Port Count (800Gb/s)	Total Bandwidth (Tb/s)	Notes
Conventional Switch	Pluggable Optics	64	51.2	Equivalent to 128 ports at 400Gb/s
Quantum-X	Pluggable Optics+Co-Packaged Optics	144	115.2	36 ports per package x 4 packages
Spectrum-X (Small)	Pluqqable Optics<Co-Packaged Optics	128	102.4	Equivalent to 256 ports at 400Gb/s
Spectrum-X (Large)	Co-Packaged Optics	512	409.6	Equivalent to 1024 ports at 400Gb/s
Sepio Switch (Representative CPO Architecture)	Co-Packaged Optics (Full CPO)	144–512 ports class	115–410 Tb/s class	No pluggable modules. Optical engines are co-packaged with the ASIC, and multi-fiber bundles are routed directly per port, resulting in a significant increase in fiber count and cabling complexity (often described as ~8x vs. conventional designs).

Source: Company data, Morgan Stanley Research

Changing Price Targets, Staying OW on Furukawa

We maintain our Attractive industry view

We maintain our Attractive Wire & Cable industry view. The main sources of demand for the wire & cable industry are 1) fiber optic cables and optical devices, 2) electronics, 3) automobiles (wire harnesses), and 4) power cables.

Regarding 1) fiber optic cables and optical devices, booming hyperscaler investment in DC and AI server applications is a tailwind, and demand for optical devices such as multi-core optical connectors and transceivers and multi-core optical cables is increasing; we expect a favorable business environment to continue. Our US IT team expects total capex by hyperscalers in 2026 to increase by 87% YoY. We believe optical connectors, optical cabling, and related products will continue to grow faster than the overall market, driven by both scale-out and scale-up investment in AI servers. Risks include potential oversupply from capacity expansion at individual companies and intensifying cost competition from lower-priced GPUs or the emergence of new technologies, but we see no signs of such risks materializing at present.

For 2) electronics, the main demand is for smartphone use, but Erik Woodring, our analyst covering Apple, is forecasting a iPhone sales CAGR of +1% in 2026–27. Rising memory prices and memory shortages are risks.

For 3) automobile use (wire harnesses), price negotiations with different companies in recent years have been successful, and profitability has been rising as productivity improves. In F3/27, risks include production adjustments due to higher crude oil prices associated with the situation in the Middle East and shortages of raw materials such as naphtha, as well as weaker consumer demand stemming from higher interest rates and persistently elevated crude oil prices.

On 4) power cables, we see solid demand for industrial & construction applications in Japan.

Our order of preference within the industry: Furukawa Electric (OW) > Sumitomo Electric (EW) > Fujikura (EW)

Exhibit 9: Our Wire & Cable ROE and OP growth rate forecasts

	ROE(%)				OP
	F25	F26e	F27e	F28e	CAGR from F26e to F28e
Furukawa	17.4	17.2	22.2	22.8	42.1%
SEI	14.7	11.7	13.4	14.1	19.5%
Fujikura	32.5	30.6	31.0	31.0	19.3%
Corning	19.6	22.5	26.2	28.7	27.5%

Source: Morgan Stanley Research. e=Morgan Stanley Research estimates

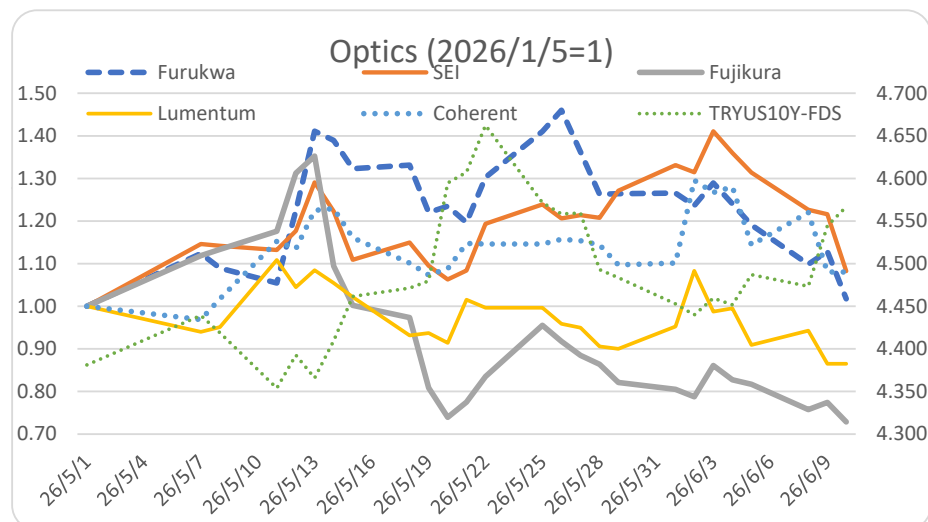
Furukawa Electric: From May 11 to June 9, the stock rose 7%. Following the earnings release, the share price surged as both F3/26 results and F3/27 guidance exceeded consensus expectations. However, more recently, the stock has traded somewhat weakly, reflecting a slowdown in momentum across AI and semiconductor-related names. That said, we believe the recent pullback has improved valuation attractiveness. The recent share price strength has been driven by growing expectations that DC-related businesses

(namely optical solutions and information components) are transitioning from an earnings recovery phase to a more accelerated growth phase. In particular, for liquid cooling modules, the latest results and the medium-term plan have further increased confidence in an earlier-than-expected ramp-up, supporting expectations for a greater contribution as a key earnings driver going forward. For F3/27-29, we forecast OP CAGR of 42.1%, the highest among the three cable companies. We maintain our OW rating.

Sumitomo Electric: From May 11 to June 9, the stock rose 7%. However, momentum stalled just after F3/26 results, as F3/27 guidance was broadly in line with expectations even though F3/26 results exceeded consensus. That said, the subsequent share price performance has been firm, supported by a mid-term plan that outlines a future in which profits from the IT segment surpass those of the automotive segment, as well as growing market expectations for upside potential to both F3/27 guidance and the new plan. In particular, we believe the growth potential of optical devices is not yet fully reflected in the current share price. We forecast OP CAGR of 19.5% for F3/27-29. In light of the relatively limited upside in the stock, we maintain our EW rating.

Fujikura: From May 11 to June 9, the stock tumbled 34%, as both F3/26 results and F3/27 guidance came in below consensus, and medium-term plan targets also missed market expectations, reflecting negative sentiment after F3/26 results. While we believe F3/27 guidance and medium-term targets are conservative, the company's explanation regarding risk assumptions was not sufficiently clear, leaving market expectations somewhat unsettled. In addition, among the three cable companies, Fujikura has been the most visibly constrained by existing production capacity. While we had anticipated a moderation in medium-term growth as a result, consensus expectations still incorporated a degree of optimism, which likely contributed to the sharp correction in the share price. Over the longer term, we expect growth to reaccelerate once new production capacity comes onstream. In the near term, however, we would look to the 1Q results for clarification on the impact of risks such as potential hydrogen shortages. We forecast OP CAGR of 19.3% for F3/27-29. If margins widen as much as the market originally expected as a result of price hikes on optical cables and other products, we think this could lead to a re-rating. We maintain our EW rating given the relative upside potential in the share price.

Exhibit 10: Performance of optical component stocks (May 1, 2026=1)



Source: FactSet, Morgan Stanley Research

Catalysts and risk factors

We now see earnings announcements and monthly export stats as stock price catalysts. Potential risk: A slowdown in growth (into single digits). Factors that could bring this about include shortages of materials (fiber, power, infrastructure constraints), slowdown in capex due to easing macroeconomic growth (capex by hyperscalers is generally proportional to sales), and GPU & chip supply constraints. The shortage of fiber, in particular, bears watching.

Price target revisions

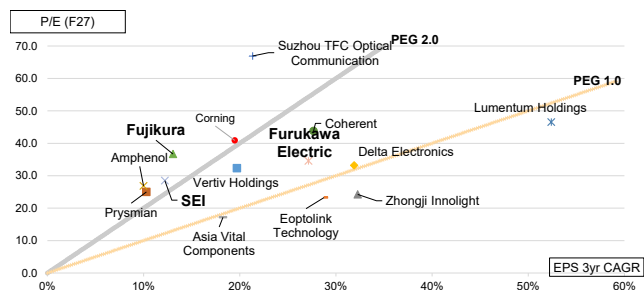
In the wire & cable industry, growth investments to transform the business structure (such as full-scale CPO operations and scale-up/scale-out investments) are underway. We expect the results of these efforts to become fully visible in earnings from F3/29. Additionally, we think the stock market is now trending toward factoring in medium/long-term profit potential and value creation two to three years ahead, rather than focusing on near-term results. In light of this, we use a residual income model, which we believe most appropriately captures longer-term corporate value.

Furukawa (5801) PT ¥66,000: We use a residual income model, which we consider the most appropriate approach for capturing long-term corporate value, to derive our price target. Our assumptions for Furukawa are a cost of equity of 9.3% (risk-free rate 2.0%, equity risk premium 6.2%, beta 1.18), a dividend payout ratio of 45%, a medium-term growth rate of 17%, and a terminal growth rate of 3.5%. **Our price target equates to 34.6x P/E and 7.7x P/B on our F3/28 forecasts.**

SEI (5802) PT ¥14,500 (previously ¥11,000): We use a residual income model, which we think most fairly captures long-term corporate value. Our assumptions for SEI are cost of equity of 8.7% (risk-free rate 2.0%, equity risk premium 6.2%, beta 1.07), dividend payout ratio of 50%, medium-term growth rate of 13.8%, and terminal growth rate of 3.0%. **Our PT equates to 27.5x P/E and 3.5x P/B on our F3/28 forecasts.** Changes vs. our prior forecast: Increases to F3/27-29, and 0.3ppt increase to our medium-term growth rate.

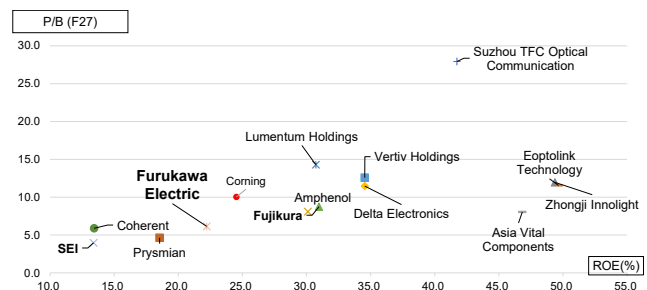
Fujikura (5803) PT ¥4,700 (previously ¥5,200): We use an RIM here too, for the reason given above. Our assumptions for Fujikura are a cost of equity of 10.0% (risk-free rate 2.0%, equity risk premium 6.2%, beta 1.29), a dividend payout ratio of 55%, a medium-term growth rate of 17.5%, and terminal growth of 3.7%. **Our PT equates to 34.5x P/E and 9.8x P/B on our F3/28 forecasts.** Changes from our prior forecast: Downward revisions to F3/27-29, and 0.5ppt cut to our medium-term growth rate.

Exhibit 11: PEG Map



Source: FactSet, Morgan Stanley Research, Note: Share prices as of Jun 11, 2026. Furukawa, SEI and Fujikura are Morgan Stanley Research estimates and others are FactSet consensus.

Exhibit 12: ROE vs P/B



Source: FactSet, Morgan Stanley Research, Note: Share prices as of Jun 11, 2026. Furukawa, SEI and Fujikura are Morgan Stanley Research estimates and others are FactSet consensus.

Exhibit 13: Furukawa Electric: Residual income model

bn JPY, bn shares	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e	F3/32e	F3/33e	F3/34e	F3/35e	F3/36e	F3/37e	F3/38e
Total Equity (Ending)	424	541	691	804	940	1,102	1,293	1,516	1,776	2,081	2,438	2,855
Net Profit	83	134	171	205	247	296	346	405	474	554	649	759
Beginning Equity	424	541	691	691	804	940	1,102	1,293	1,516	1,776	2,081	2,438
Average Equity	424	541	691	748	872	1,021	1,198	1,404	1,646	1,929	2,259	2,646
ROAE	19.6%	24.7%	24.8%	27.5%	28.3%	29.0%	28.9%	28.8%	28.8%	28.7%	28.7%	28.7%
Spread (ROAE - CoE)	10.3%	24.7%	24.8%	18.2%	19.0%	19.7%	19.6%	19.5%	19.5%	19.4%	19.4%	19.4%
Residual Income	44	134	171	126	152	185	216	252	295	345	404	472
Period (t)	1	1	1	4	5	6	7	8	9	10	11	12
Discount Factor (mid-year)	0.956	1.000	1.000	0.732	0.670	0.613	0.560	0.513	0.469	0.429	0.392	0.359
Discount Factor (end-year)	0.915	1.000	1.000	0.700	0.641	0.586	0.536	0.490	0.449	0.410	0.375	0.343
PV of Residual Income	42	134	171	92	102	113	121	129	138	148	158	169
Ending Equity Capital	424											
PV of Forecast Period	1,519											
PV of Continuing Value	2,884											
Equity Value	4,827											
No. of Shares	0.0735											
Our Target Price	66,000											

Source: Morgan Stanley Research. e=Morgan Stanley Research estimates

Exhibit 14: Sumitomo Electric: Residual income model

bn JPY, bn shares	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e	F3/32e	F3/33e	F3/34e	F3/35e	F3/36e	F3/37e	F3/38e
Total Equity (Ending)	2,323	2,569	2,850	3,122	3,434	3,789	4,193	4,654	5,177	5,773	6,451	7,223
Net Profit	331	411	468	543	624	711	809	920	1,047	1,192	1,356	1,543
Beginning Equity	2,323	2,323	2,569	2,850	3,122	3,434	3,789	4,193	4,654	5,177	5,773	6,451
Average Equity	2,323	2,446	2,710	2,986	3,278	3,611	3,991	4,424	4,915	5,475	6,112	6,837
ROAE	14.3%	16.8%	17.3%	18.2%	19.1%	19.7%	20.3%	20.8%	21.3%	21.8%	22.2%	22.6%
Spread (ROAE - CoE)	5.6%	8.1%	8.6%	9.5%	10.4%	11.0%	11.6%	12.1%	12.6%	13.1%	13.5%	13.9%
Residual Income	130	189	221	272	324	378	440	509	589	679	781	898
Period (t)	1	2	3	4	5	6	7	8	9	10	11	12
Discount Factor (mid-year)	0.959	0.883	0.813	0.748	0.688	0.633	0.583	0.536	0.494	0.454	0.418	0.385
Discount Factor (end-year)	0.920	0.847	0.779	0.717	0.660	0.608	0.559	0.515	0.474	0.436	0.401	0.369
PV of Residual Income	125	167	180	203	223	240	256	273	291	308	327	345
Ending Equity Capital	2,323											
PV of Forecast Period	2,938											
PV of Continuing Value	6,032											
Equity Value	11,293											
No. of Shares	0.7799											
Our Target Price	14,500											

12540

Source: Morgan Stanley Research. e=Morgan Stanley Research estimates

Exhibit 15: Fujikura: Residual income model

bn JPY, bn shares	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e	F3/32e	F3/33e	F3/34e	F3/35e	F3/36e	F3/37e	F3/38e
Total Equity (Ending)	557	684	839	985	1,168	1,397	1,666	1,981	2,353	2,789	3,301	3,903
Net Profit	188	226	271	325	407	508	597	702	825	969	1,138	1,338
Beginning Equity	557	557	684	839	985	1,168	1,397	1,666	1,981	2,353	2,789	3,301
Average Equity	557	620	761	912	1,077	1,283	1,531	1,824	2,167	2,571	3,045	3,602
ROAE	33.7%	36.4%	35.0%	35.7%	37.8%	39.6%	39.0%	38.5%	38.1%	37.7%	37.4%	37.1%
Spread (ROAE - CoE)	23.7%	26.4%	25.6%	25.7%	27.8%	29.6%	29.0%	28.5%	28.1%	27.7%	27.4%	27.1%
Residual Income	132	147	175	215	274	346	405	474	556	652	764	896
Period (t)	1	2	3	4	5	6	7	8	9	10	11	12
Discount Factor (mid-year)	0.953	0.867	0.788	0.716	0.651	0.592	0.538	0.489	0.445	0.404	0.368	0.334
Discount Factor (end-year)	0.909	0.826	0.751	0.683	0.621	0.565	0.513	0.467	0.424	0.386	0.351	0.319
PV of Residual Income	126	127	138	154	178	205	218	232	247	263	281	299
Ending Equity Capital	557											
PV of Forecast Period	2,470											
PV of Continuing Value	4,725											
Equity Value	7,752											
No. of Shares	1.6556											
Our Target Price	4,700											

Source: Morgan Stanley Research. e=Morgan Stanley Research estimates

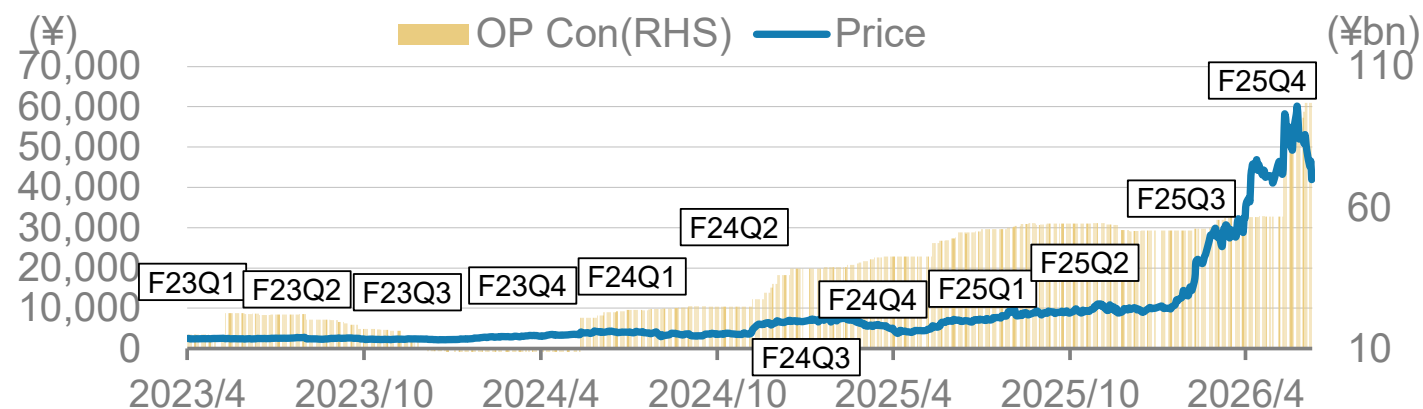
Exhibit 16: Valuation & EBIT CAGR

Ticker	Company	Share Price	Mkt Cap	P/E(x)			P/B(x)			ROE(%)			EBIT CAGR (%)		EV/EBITDA(x)			Div yield (%)
		2026/6/11	(JPYbn)	F2026	F2027	F2028	F2026	F2027	F2028	F2026	F2027	F2028	FY23-25	FY25-28	F2026	F2027	F2028	F2026
GLW-US	Corning	US\$168.17	23,229.0	52.9	40.9	31.0	11.1	10.0	8.3	21.1	24.5	26.7	-14.0	77.6	28.7	24.3	19.3	0.7
PRY-IT	Prismian	ITL 141.50	7,918.9	29.8	25.0	22.2	5.4	4.6	3.9	18.3	18.5	17.6	10.6	30.8	16.2	14.5	13.0	0.7
300308-CN	Zhongji Innolight	CNY 1,124.0	29,683.3	42.9	24.2	17.3	21.8	12.0	7.2	50.8	49.4	41.7	46.5	143.5	33.2	19.8	14.3	0.3
APH-US	Amphenol	US\$149.22	29,463.0	31.4	26.9	23.6	10.5	8.1	6.3	33.5	30.1	26.6	5.6	55.4	18.6	16.7	15.1	0.7
LITE-US	Lumentum Holdings	US\$853.26	10,654.2	103.6	46.5	29.3	22.3	14.3	7.8	21.6	30.7	26.8	-	-	81.8	33.3	21.1	-
COHR-US	Coherent	US\$354.77	11,139.5	64.9	43.8	31.2	6.4	5.9	4.8	9.8	13.4	15.5	-	105.5	42.5	27.2	18.2	0.0
300394-CN	Suzhou TFC Optical Communication	CNY 412.3	7,607.1	92.7	66.9	51.9	39.7	27.9	19.5	42.8	41.7	37.6	35.8	66.8	73.7	54.0	42.1	0.4
300502-CN	Eoptolink Technology	CNY 526.0	17,366.3	36.8	23.3	17.8	20.7	11.5	7.0	56.2	49.7	39.2	36.6	146.1	30.7	21.1	15.1	0.3
	Optic & Electronic materials			66.9	37.2	28.0	17.2	11.8	8.1	31.8	32.3	29.0	20.2	89.4	40.7	26.4	19.8	0.4
3017-TW	Asia Vital Components	TWD 2,335.00	4,638.6	24.6	17.2	14.9	12.4	8.0	5.7	50.4	46.8	38.3	17.2	93.2	15.5	10.9	9.2	1.4
2308-TW	Delta Electronics	TWD 2,160.00	28,420.5	52.0	33.2	22.7	15.4	11.5	8.6	29.6	34.5	38.0	3.2	85.4	31.0	20.7	14.6	0.8
VRT-US	Vertiv Holdings	US\$280.98	17,321.7	43.9	32.3	25.4	18.4	12.6	8.3	41.9	38.9	32.8	30.7	80.9	32.7	24.1	18.9	0.1
	Cooling			40.2	27.6	21.0	15.4	10.7	7.6	40.6	40.1	36.4	17.0	86.5	26.4	18.5	14.2	0.7
5803	Fujikura	¥4,142.0	7,352.8	34.1	27.8	22.9	10.1	8.4	6.8	29.6	30.1	29.5	23.4	45.1	23.7	19.2	16.4	1.1
5802	SEI	¥10,250.0	8,137.9	23.9	20.0	16.2	2.7	2.5	2.3	11.4	12.5	14.0	11.9	25.0	12.5	10.6	8.9	1.6
5801	Furukawa Electric	¥40,780.0	2,881.8	32.9	23.1	17.8	5.9	4.8	3.9	17.9	20.9	22.1	16.6	46.7	21.5	15.4	11.9	0.6
	Domestic Wire&Cable			30.3	23.6	19.0	6.2	5.2	4.3	19.6	21.2	21.9	17.3	38.9	19.2	15.1	12.4	1.1

Source: FactSet, Morgan Stanley Research, Estimates are FactSet.

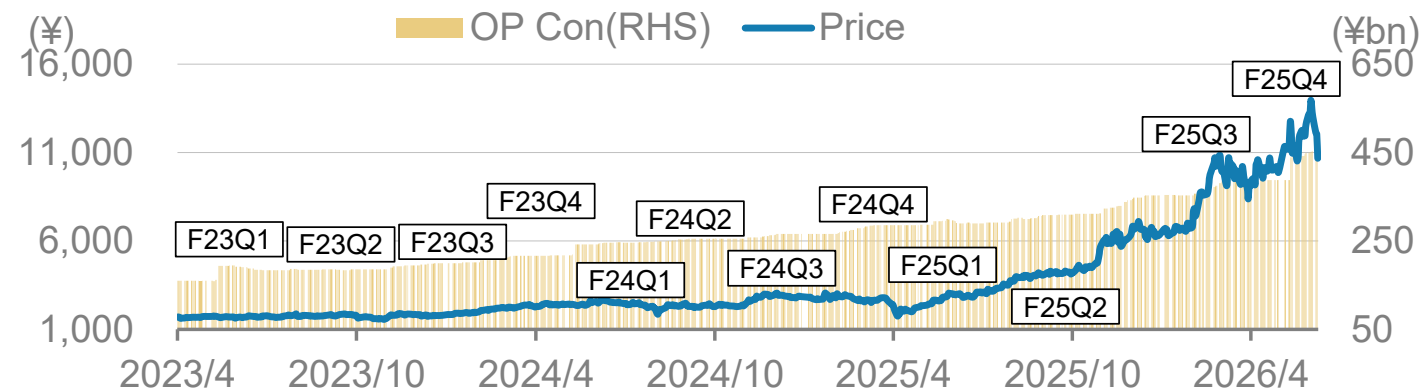
Stock Price Trends in Cable Industry

Exhibit 17: Furukawa Electric: Stock Price & OP Consensus Estimate Trend



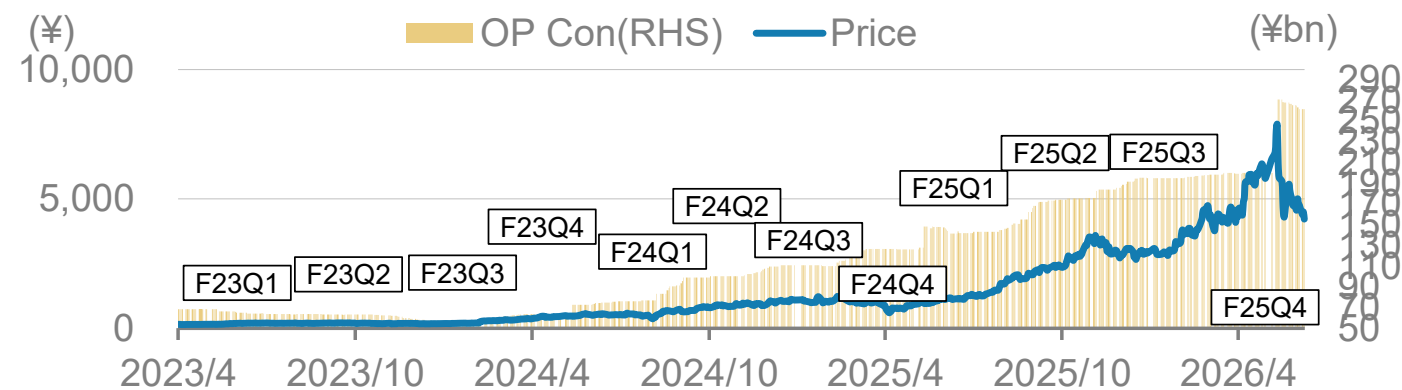
Note: Consensus = FactSet Consensus Mean, Source: FactSet, Morgan Stanley Research

Exhibit 18: Sumitomo Electric: Stock Price & OP Consensus Estimate Trend



Note: Consensus = FactSet Consensus Mean, Source: FactSet, Morgan Stanley Research

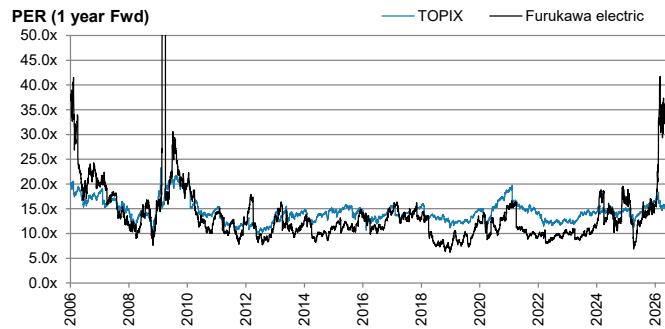
Exhibit 19: Fujikura: Stock Price & OP Consensus Estimate Trend



Note: Consensus = FactSet Consensus Mean, Source: FactSet, Morgan Stanley Research

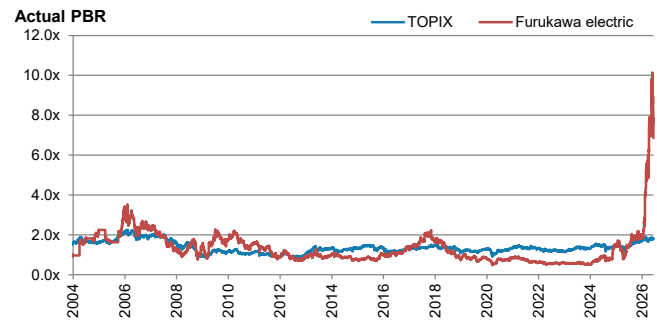
Valuation Trends

Exhibit 20: Estimated P/E: Furukawa Electric vs TOPIX



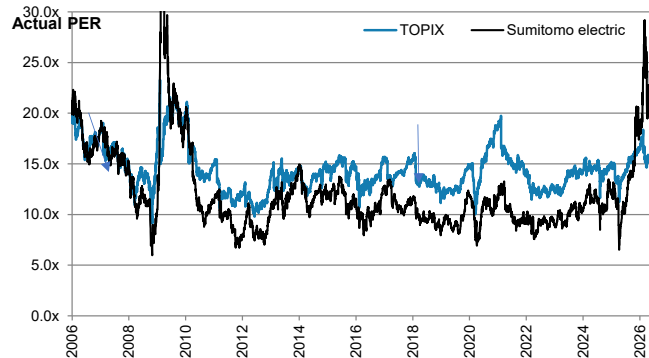
Source: Bloomberg, Morgan Stanley Research

Exhibit 21: P/B: Furukawa Electric vs TOPIX



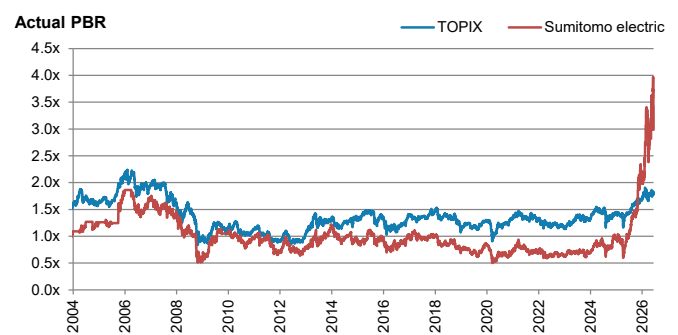
Source: Bloomberg, Morgan Stanley Research

Exhibit 22: Estimated P/E: Sumitomo Electric vs TOPIX



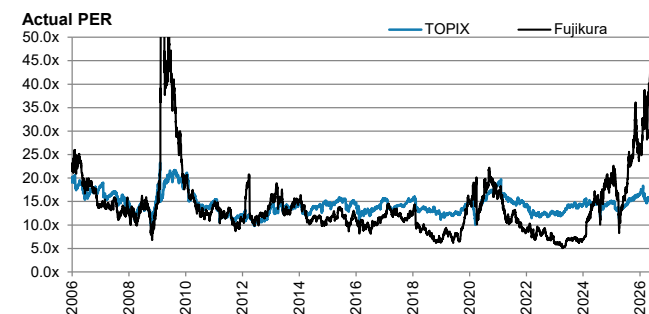
Source: Bloomberg, Morgan Stanley Research

Exhibit 23: P/B: Sumitomo Electric vs TOPIX



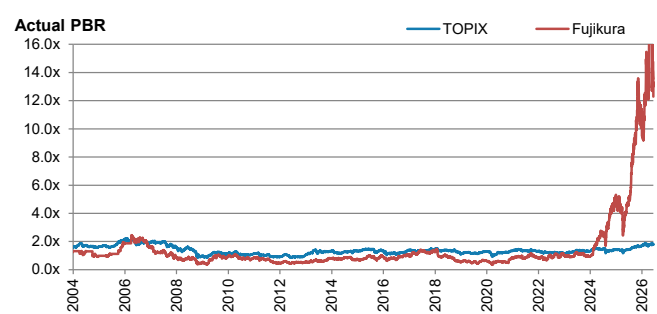
Source: Bloomberg, Morgan Stanley Research

Exhibit 24: Estimated P/E: Fujikura vs TOPIX



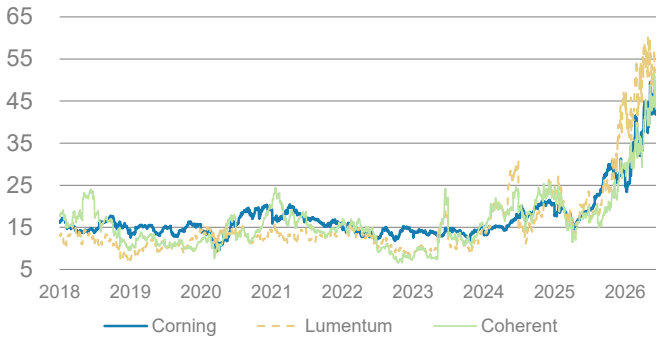
Source: Bloomberg, Morgan Stanley Research

Exhibit 25: P/B: Fujikura vs TOPIX



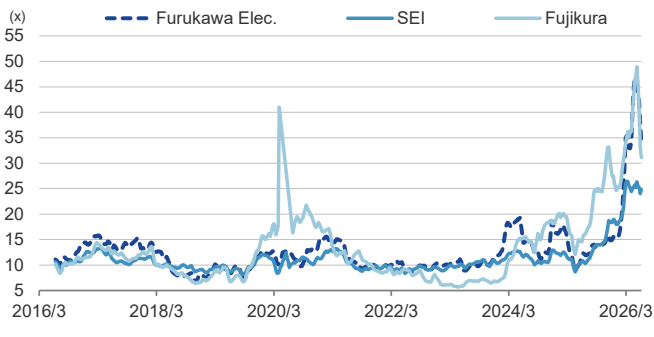
Source: Bloomberg, Morgan Stanley Research

Exhibit 26: Corning, Lumentum, and Coherent P/E



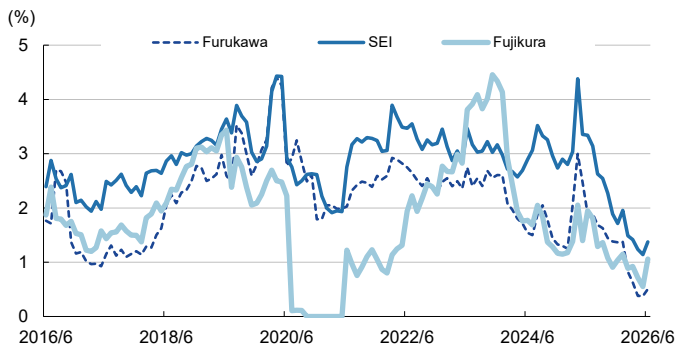
Source: Bloomberg, Morgan Stanley Research

Exhibit 27: 3 Cable Companies P/E



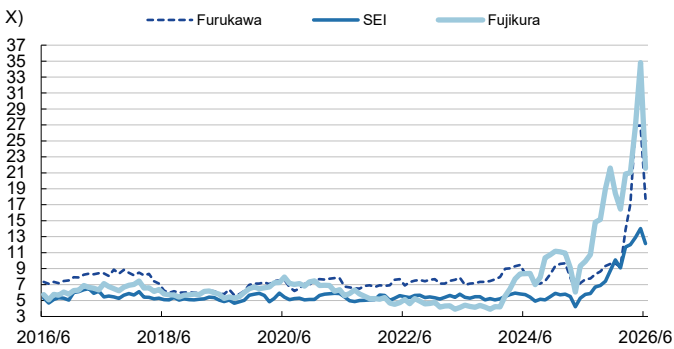
Source: FactSet, Morgan Stanley Research

Exhibit 28: 3 Cable Companies Div Yield



Source: Bloomberg, Morgan Stanley Research

Exhibit 29: 3 Cable Companies EV/EBITDA



Source: Bloomberg, Morgan Stanley Research

Earnings Summary: Furukawa Electric (5801.T)

Exhibit 30: Financial Summary (1)

(Unit: JPYbn) P/L	J-GAAP F2016	J-GAAP F2017	J-GAAP F2018	J-GAAP F2019	J-GAAP F2020	J-GAAP F2021	J-GAAP F2022	J-GAAP F2023	J-GAAP F2024	J-GAAP F2025	J-GAAP F2026e	J-GAAP F2027e	J-GAAP F2028e	CAGR 26e-28e
Old Revenue	843.3	967.3	991.6	914.4	811.6	930.5	1,066.3	1,056.5	1,201.8	1,307.6	1,493.9	1,747.3	1,967.4	14.8%
Communications Solutions	168.5	191.3	179.9	166.4	158.3	191.3	217.6	168.0	167.0	229.3				
Energy Infrastructure	95.3	102.1	108.1	114.5	100.9	105.7	106.3	110.2	142.1	141.6				
Automotive Products & Batteries	223.4	248.1	267.3	257.6	235.1	249.9	337.4	379.8	409.5	397.8				
Electronics Component Materials	232.1	285.6	294.4	251.7	198.0	250.8	273.0	273.9	327.0	367.3				
Functional Products	131.5	153.1	149.3	115.9	114.7	130.0	126.5	115.4	147.0	161.1				
Service and Developments, etc.	49.7	51.0	48.6	50.3	38.7	34.5	31.7	31.6	34.8	42.2				
Adjustment	-57.0	-63.9	-55.9	-42.0	-34.0	-31.6	-26.1	-22.4	-25.6	-31.7				
New Revenue	843.3	967.3	991.6	914.4	811.6	930.5	1,066.3	1,056.5	1,201.8	1,307.6	1,493.9	1,747.3	1,967.4	14.8%
Optical Solutions										196.9	263.3	326.2	391.8	22.0%
Digital Infrastructure Components										198.0	305.6	495.1	639.6	44.7%
Energy Infrastructure										138.8	142.0	143.0	143.0	0.4%
Automotive Systems										357.5	364.0	364.0	374.0	1.4%
Metal Solutions										372.9	443.0	443.0	443.0	0.0%
Service and Developments, etc.										105.8	52.0	52.0	52.0	0.0%
Elimination of intra-company transactions										-62.5	-76.0	-76.0	-76.0	0.0%
Revenue Growth (Y/Y, %)											14.3	17.0	12.6	
Optical Solutions											33.7	23.9	20.1	
Digital Infrastructure Components											54.3	62.0	29.2	
Energy Infrastructure											2.3	0.7	0.0	
Automotive Systems											1.8	0.0	2.7	
Metal Solutions											18.8	0.0	0.0	
Service and Developments, etc.											-50.9	0.0	0.0	
Old Operating Profit	38.6	44.8	40.8	23.6	8.4	11.4	15.4	11.2	47.0	63.9	100.0	158.0	202.0	42.1%
Communications Solutions	14.2	14.0	9.8	1.6	-0.2	3.8	6.5	-13.0	-4.0	11.8				
Energy Infrastructure	0.1	-1.6	-2.4	0.1	-1.9	1.4	2.1	1.7	9.8	9.6				
Automotive Products & Batteries	10.1	13.2	13.5	10.9	5.0	-4.6	1.5	15.6	27.6	28.0				
Electronics Component Materials	2.7	5.1	6.0	3.9	0.9	4.8	3.2	3.1	5.0	5.9				
Functional Products	11.7	14.0	13.5	7.5	6.3	7.6	4.2	5.5	14.1	15.4				
Service and Developments, etc.	-0.1	-0.0	0.3	-0.3	-1.7	-1.4	-2.1	-1.9	-5.4	-6.7				
Adjustment	-0.0	0.1	0.1	0.0	0.1	-0.1	0.1	0.1	-0.1	-0.1				
Operating Profit	38.6	44.8	40.8	23.6	8.4	11.4	15.4	11.2	47.0	63.9	100.0	158.0	202.0	42.1%
Optical Solutions										19.4	29.9	46.2	55.8	
Digital Infrastructure Components										24.2	39.5	81.2	115.4	
Energy Infrastructure										5.2	8.6	8.6	8.6	
Automotive Systems										14.8	22.0	22.0	22.6	
Metal Solutions										3.8	5.0	5.5	5.5	
Service and Developments, etc.										-4.0	-5.0	-5.0	-5.0	
Elimination of intra-company transactions										0.0	0.0	-0.5	-0.9	
Operating Profit Margin (%)										4.9	6.7	9.0	10.3	
Optical Solutions										9.9	11.4	14.2	14.2	
Digital Infrastructure Components										12.2	12.9	16.4	18.0	
Energy Infrastructure										3.7	6.1	6.0	6.0	
Automotive Systems										4.1	6.0	6.0	6.0	
Metal Solutions										1.0	1.1	1.2	1.2	
Service and Developments, etc.										-3.8	-9.6	-9.6	-9.6	
Equity Method Income	0.1	4.3	1.7	2.5	-0.9	9.0	6.0	6.3	10.6	16.5	28.0	40.0	48.0	
Other non-operating income	-2.7	-2.2	-3.4	-3.3	-2.3	-0.8	-1.8	-7.2	-9.1	-4.5	-8.4	-8.4	-8.4	
Recurring Profit	36.0	46.9	39.1	22.8	5.2	19.7	19.6	10.3	48.5	75.9	119.6	189.6	241.6	42.1%
One-off Profit / Loss, net	-8.1	-6.4	-3.3	8.0	16.1	0.8	10.7	9.8	5.5	29.1	0.0	0.0	0.0	
Pretax Profit	28.0	40.5	35.8	30.8	21.3	20.4	30.3	20.1	54.0	104.9	119.6	189.6	241.6	42.1%
Tax	5.5	8.2	3.3	11.8	9.2	7.2	10.7	11.6	16.7	29.0	33.5	53.1	67.6	
Non-controlling Interest	4.9	3.8	3.3	1.4	2.1	3.1	1.7	2.0	3.9	3.4	2.8	2.8	2.8	
Net Income for Shareholders	17.6	28.5	29.1	17.6	10.0	10.1	17.9	6.5	33.4	72.5	83.3	133.7	171.2	43.4%
Capital Expenditure	31.6	38.5	50.0	53.1	40.0	38.1	43.8	39.0	38.6	56.7	150.0	140.0	140.0	
Depreciation	23.4	25.1	26.3	29.4	32.2	33.7	39.1	39.0	41.3	43.2	50.0	56.5	62.0	
Research & Development	17.5	19.5	21.1	21.7	20.2	20.8	23.3	24.5	25.4	28.4	32.5	38.0	42.8	
Per Share Data														
EPS	249.2	405.1	412.0	250.3	141.9	143.4	254.4	92.4	473.3	1,030.8	1,189.4	1,909.1	2,444.6	43.4%
BPS	2,933.2	3,355.8	3,505.5	3,408.9	3,686.8	3,967.1	4,312.1	4,656.9	4,844.9	5,928.2	6,924.5	8,593.6	10,738.2	24.5%
DPS	55.0	80.0	85.0	85.0	60.0	60.0	80.0	60.0	120.0	210.0	220.0	240.0	300.0	16.8%
ROE (%)	8.5	12.1	11.8	7.3	3.8	3.6	5.9	2.0	9.8	17.4	17.2	22.2	22.8	
Dividend Payout Ratio (%)	22.1	19.8	20.6	34.0	42.3	41.8	31.4	65.0	25.4	20.4	18.5	12.6	12.3	
Shares outstanding (million)	70.5	70.5	70.5	70.5	70.5	70.4	70.4	70.4	70.4	70.5	70.5	70.5	70.5	

Note: Segments changed from F3/26. Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Exhibit 31: Financial Summary (2)

(Unit: JPYbn)	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	CAGR
B/S	F2016	F2017	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025	F2026e	F2027e	F2028e	26e-28e	
Cash & Equivalents	46.1	49.8	46.8	55.1	87.2	67.6	52.0	53.1	66.1	70.5	36.8	18.0	33.1		
Marketable Securities	1.1	0.9	0.2	0.2	0.1	0.8	0.6	0.5	0.7	0.5	0.5	0.5	0.5		
Acct Receivable	198.9	224.3	219.3	192.5	191.9	230.3	229.6	245.7	260.6	266.5	295.8	346.0	389.6		
Inventories	104.4	113.8	122.9	115.9	120.8	164.1	172.3	183.6	195.0	210.9	236.4	264.7	289.2		
Other Current Assets	32.0	37.4	31.3	22.5	29.8	40.1	32.4	34.8	34.1	47.2	47.2	47.2	47.2		
Total Current Assets	382.4	426.1	420.5	386.2	429.8	503.0	486.8	517.8	556.4	595.5	616.7	676.3	759.6		
PP&E, net	205.5	216.7	229.4	254.2	246.7	260.2	269.3	278.6	277.0	276.9	376.9	460.4	538.4		
Goodwill and Goodwill-like Intangibles	3.1	2.5	2.8	2.1	1.5	0.6	0.2	0.1	0.6	2.5	2.5	2.5	2.5		
Amortizable Intangibles	6.6	8.8	9.5	14.0	18.8	19.9	20.0	20.2	23.4	23.0	23.0	23.0	23.0		
Investments in securities	125.2	132.3	119.2	100.9	101.7	116.8	120.9	131.7	98.8	145.5	173.5	213.5	261.5		
Deferred tax assets	4.0	3.6	13.6	14.7	6.9	7.9	9.4	8.6	6.6	3.8	3.8	3.8	3.8		
Other assets, noncurrent	23.3	25.8	23.1	22.5	26.6	27.6	28.1	28.1	25.2	19.3	19.3	19.3	19.3		
Total Non Current Assets	367.7	389.7	397.5	408.4	402.2	432.9	448.0	467.2	431.6	470.9	598.9	722.4	848.4	19.0%	
Total Assets	750.1	815.8	818.0	794.6	832.0	935.9	934.8	985.0	988.1	1,066.4	1,215.6	1,398.7	1,607.9	15.0%	
Accounts Payable	108.1	124.4	131.4	111.6	115.5	128.0	125.4	128.8	136.7	140.5	172.7	196.1	217.4		
Short-term debt	100.3	116.3	106.7	110.5	103.5	169.0	169.3	172.9	154.8	174.4	152.9	152.9	157.9		
Other liabilities, current	85.0	89.7	93.5	97.5	96.2	82.7	86.3	99.2	103.0	113.7	113.7	113.7	113.7		
Total Current liabilities	293.4	330.3	331.6	319.6	315.2	379.7	381.0	400.9	394.5	428.7	439.3	462.7	489.0	5.5%	
Long-term debt	152.2	142.2	139.3	125.6	157.1	173.1	154.5	160.2	151.4	142.3	210.2	250.2	280.2		
Retirement pension obligations	45.2	43.2	47.7	53.5	44.5	43.8	38.2	29.2	31.6	13.6	13.6	13.6	13.6		
Deferred tax liabilities	6.3	9.5	1.5	0.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other liabilities, noncurrent	16.0	18.5	17.9	22.5	23.6	25.2	30.0	36.7	36.9	46.6	46.6	46.6	46.6		
Total Non Current Liabilities	219.7	213.4	206.5	201.9	225.2	242.1	222.8	226.1	219.8	202.5	270.4	310.4	340.4	12.2%	
Common stock	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4	69.4		
Additional paid-in capital	21.6	22.3	22.5	22.8	23.0	23.2	23.2	23.2	23.9	23.8	23.8	23.8	23.8		
Retained earnings	103.9	128.1	151.7	165.1	168.5	174.3	188.8	192.9	198.8	264.7	332.6	449.5	599.7		
Treasury stocks	-0.6	-0.6	-0.6	-0.6	-0.6	-0.9	-0.9	-0.7	-0.7	-1.7	-1.7	-1.7	-1.7		
Shareholders' Equity	194.3	219.2	243.1	256.7	260.4	266.0	280.6	284.7	291.5	356.2	424.0	540.9	691.1	27.7%	
Noncontrolling interests	30.3	35.6	32.3	32.8	31.7	34.8	27.4	29.9	32.3	18.2	21.0	23.8	26.6		
Accumulated OCI	12.4	17.3	4.6	-16.4	-0.5	13.2	23.0	43.4	49.9	60.9	60.9	60.9	60.9		
Liabs+Shareholders' Equity	750.1	815.8	818.0	794.6	832.0	935.9	934.8	985.0	988.1	1,066.4	1,215.6	1,398.7	1,607.9	15.0%	

(Unit: JPYbn)	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	CAGR
C/F	F2016	F2017	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025	F2026e	F2027e	F2028e	26e-28e	
Net Income	17.6	28.5	29.1	17.6	10.0	10.1	17.9	6.5	33.4	72.5	83.3	133.7	171.2		
Depreciation	23.4	25.1	26.3	29.4	32.2	33.7	39.1	39.0	41.3	43.2	50.0	56.5	62.0		
Goodwill amortization	0.6	0.6	0.6	0.7	0.7	0.7	0.7	0.0	0.0	0.0	0.0	0.0	0.0		
Change in accounts receivable	-10.9	-26.4	1.2	23.5	-13.8	-28.2	5.8	-5.9	-7.2	-23.8	-29.4	-50.2	-43.6		
Change in inventories	-7.5	-9.4	-11.5	4.1	-13.8	-36.0	-3.4	-5.0	-7.6	-26.1	-25.5	-28.3	-24.5		
Change in accounts payable	7.3	17.1	6.0	-17.3	12.2	11.9	-8.7	-3.9	2.5	5.9	32.2	23.4	21.3		
Other operating cash flow	10.0	2.9	-5.2	-16.1	-27.9	-5.4	-14.8	1.3	-2.6	-43.7	-25.2	-37.2	-45.2		
Cash flow from operating activities	40.4	38.4	46.5	41.9	-0.5	-13.3	36.5	31.9	59.8	28.1	85.4	97.9	141.1	28.6%	
Capital Expenditure	-28.4	-34.3	-43.1	-47.3	-33.4	-36.5	-35.9	-36.4	-36.7	-46.1	-150.0	-140.0	-140.0		
Purchase of intangible assets	2.5	3.5	4.0	6.6	7.3	3.5	3.4	3.8	4.8	6.0	0.0	0.0	0.0		
Change in investment securities	-1.2	-0.3	6.1	9.4	12.7	3.1	18.6	17.6	43.7	29.3	0.0	0.0	0.0		
Net disposals (acquisitions)	0.0	0.1	1.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other investment cash flow	-4.2	3.8	8.1	11.4	26.1	-3.1	-1.0	-2.1	-9.4	-24.3	0.0	0.0	0.0		
Cash flow from investing activities	-36.4	-34.3	-31.0	-33.1	-1.9	-40.1	-21.7	-24.8	-7.2	-47.1	-150.0	-140.0	-140.0	-3.4%	
Change in short-term debt	-3.1	0.9	4.1	16.7	17.0	41.1	-24.1	-4.5	-33.6	18.1	-21.5	0.0	5.0		
Change in long-term debt	-2.5	1.9	-15.2	-8.5	25.9	1.3	-2.4	4.2	1.2	15.8	67.9	40.0	30.0		
Net share issuance (repurchase)	-0.4	-0.0	-0.0	-0.0	-0.0	-0.4	0.0	0.2	0.8	-1.2	0.0	0.0	0.0		
Dividends paid	-3.5	-5.1	-7.9	-7.4	-6.0	-4.2	-4.2	-5.6	-4.2	-8.5	-15.4	-16.8	-21.0		
Other financial cash flow	-0.9	0.4	-0.4	-1.1	-1.7	-2.7	-3.7	-3.6	-8.3	-4.3	0.0	0.0	0.0		
Cash flow from financing activities	-10.4	-1.9	-19.4	-0.2	35.1	35.0	-34.5	-9.3	-44.2	19.9	31.0	23.2	14.0	-32.8%	
Net change in cash & cash equivalents	-5.5	3.6	-2.9	8.2	32.1	-19.6	-15.7	1.1	13.0	4.4	-33.6	-18.9	15.1		
FX effect	-0.3	1.0	0.9	-0.9	-0.6	-1.8	2.8	3.0	3.3	2.6	0.0	0.0	0.0		
Other	1.1	0.4	0.2	0.5	-0.0	0.6	1.2	0.4	1.3	0.8	0.0	0.0	0.0		
Cash at end of period	46.1	49.8	46.8	55.1	87.2	67.6	52.0	53.1	66.1	70.5	36.8	18.0	33.1	-5.2%	

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Exhibit 32: Financial summary (3)

(Unit: JPYbn)	F2025				F2026				F2027				F2028			
P/L	1Q	2Q	3Q	4Q	1Qe	2Qe	3Qe	4Qe	1Qe	2Qe	3Qe	4Qe	1Qe	2Qe	3Qe	4Qe
Revenue	293.7	316.9	338.2	358.7	348.9	357.6	378.7	408.7	417.9	427.6	440.4	461.4	478.7	481.0	497.0	510.7
Communications Solutions	47.0	56.4	56.0	69.9												
Energy Infrastructure	33.3	35.5	33.9	38.9												
Automotive Products & Batteries	96.2	98.5	110.8	92.3												
Electronics Component Materials	77.4	79.9	96.9	113.0												
Functional Products	37.3	43.4	38.5	41.9												
Service and Developments, etc.	9.7	10.1	10.6	11.8												
Adjustment	-7.3	-6.9	-8.5	-9.1												
New Revenue					348.9	357.6	378.7	408.7	417.9	427.6	440.4	461.4	478.7	481.0	497.0	510.7
Optical Solutions					57.8	62.1	67.2	76.2	74.6	78.1	82.8	90.7	89.8	94.1	99.6	108.3
Digital Infrastructure Components					59.6	65.0	81.0	100.0	111.8	119.0	126.6	137.7	154.4	154.4	164.4	166.4
Energy Infrastructure					35.5	35.5	35.5	35.5	35.5	35.5	36.0	36.0	35.5	35.5	36.0	36.0
Automotive Systems					92.0	90.0	90.0	92.0	92.0	90.0	90.0	92.0	95.0	92.0	92.0	95.0
Metal Solutions					110.0	111.0	111.0	111.0	110.0	111.0	111.0	111.0	110.0	111.0	111.0	111.0
Service and Developments, etc.					13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0	13.0
Elimination of intra-company transactions					-19.0	-19.0	-19.0	-19.0	-19.0	-19.0	-19.0	-19.0	-19.0	-19.0	-19.0	-19.0
Revenue Growth (Y/Y, %)									19.8	19.6	16.3	12.9	14.6	12.5	12.9	10.7
Optical Solutions									29.0	25.8	23.2	19.0	20.4	20.5	20.3	19.4
Digital Infrastructure Components									87.6	83.1	56.3	37.7	38.1	29.7	29.9	20.8
Energy Infrastructure									0.0	0.0	1.4	1.4	0.0	0.0	0.0	0.0
Automotive Systems									0.0	0.0	0.0	0.0	3.3	2.2	2.2	3.3
Metal Solutions									0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Service and Developments, etc.									0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Operating Profit	8.4	10.9	15.8	28.7												
Communications Solutions	-0.7	0.9	2.7	9.0												
Energy Infrastructure	0.8	1.8	3.0	4.1												
Automotive Products & Batteries	5.6	5.2	8.1	9.0												
Electronics Component Materials	1.0	1.2	0.2	3.4												
Functional Products	4.0	3.4	3.3	4.7												
Service and Developments, etc.	-2.1	-1.7	-1.3	-1.7												
Adjustment	-0.2	0.1	-0.0	-0.0												
Operating Profit					15.4	19.9	28.1	36.6	31.2	36.4	42.4	48.0	43.7	47.1	53.7	57.5
Optical Solutions					4.7	5.7	9.0	10.5	9.1	10.3	12.6	14.2	11.1	12.5	15.1	17.1
Digital Infrastructure Components					6.1	7.5	10.7	15.3	17.4	19.3	21.2	23.3	27.7	27.7	29.9	30.1
Energy Infrastructure					0.8	2.1	2.3	3.4	0.8	2.1	2.3	3.4	0.8	2.1	2.3	3.4
Automotive Systems					4.1	4.9	5.8	7.2	4.1	4.9	5.8	7.2	4.3	5.0	5.9	7.4
Metal Solutions					1.3	1.3	1.3	1.2	1.3	1.3	1.5	1.4	1.3	1.3	1.5	1.4
Service and Developments, etc.					-1.5	-1.5	-1.0	-1.0	-1.5	-1.5	-1.0	-1.0	-1.5	-1.5	-1.0	-1.0
Elimination of intra-company transactions					0.0	0.0	0.0	0.0	0.0	0.0	0.0	-0.5	0.0	0.0	0.0	-0.9
Operating Profit Margin (%)	4.4	5.6	7.4	9.0	4.4	5.6	7.4	9.0	7.5	8.5	9.6	10.4	9.1	9.8	10.8	11.3
Optical Solutions					8.1	9.2	13.4	13.8	12.2	13.2	15.2	15.7	12.4	13.3	15.2	15.8
Digital Infrastructure Components					10.2	11.5	13.1	15.3	15.6	16.2	16.7	16.9	18.0	17.9	18.2	18.1
Energy Infrastructure					2.3	5.9	6.5	9.6	2.3	5.9	6.4	9.4	2.3	5.9	6.4	9.4
Automotive Systems					4.5	5.4	6.4	7.8	4.5	5.4	6.4	7.8	4.5	5.4	6.4	7.8
Metal Solutions					1.1	1.1	1.2	1.1	1.2	1.2	1.4	1.3	1.2	1.2	1.4	1.3
Service and Developments, etc.					-11.5	-11.5	-7.7	-7.7	-11.5	-11.5	-7.7	-7.7	-11.5	-11.5	-7.7	-7.7
Equity Method Income	2.1	3.0	4.3	7.2	7.0	7.0	7.0	7.0	10.0	10.0	10.0	10.0	12.0	12.0	12.0	12.0
Other non-operating income	-2.8	-1.1	0.2	-1.5	13.3	17.8	26.0	34.5	29.1	34.3	40.3	45.9	41.6	45.0	51.6	55.4
Recurring Profit	7.8	12.7	20.3	34.4	20.3	24.8	33.0	41.5	39.1	44.3	50.3	55.9	53.6	57.0	63.6	67.4
One-off Profit / Loss, net	-0.1	0.5	10.2	19.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Pretax Profit	7.7	13.2	30.5	53.6	20.3	24.8	33.0	41.5	39.1	44.3	50.3	55.9	53.6	57.0	63.6	67.4
Tax	1.8	4.5	7.4	15.3	5.7	6.9	9.3	11.6	11.0	12.4	14.0	15.7	15.0	16.0	17.8	18.8
Non-controlling Interest	0.7	0.9	0.5	1.3	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7
Net Income for Shareholders	5.2	7.8	22.6	37.0	13.9	17.2	23.0	29.2	27.4	31.2	35.6	39.5	37.9	40.3	45.1	47.9

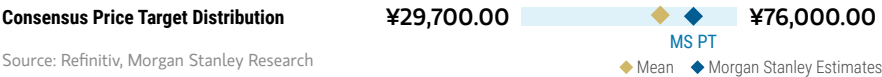
Note: Segments changed from F3/26. Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Risk Reward – Furukawa Electric (5801.T)

DC-related products drive earnings growth

PRICE TARGET ¥66,000

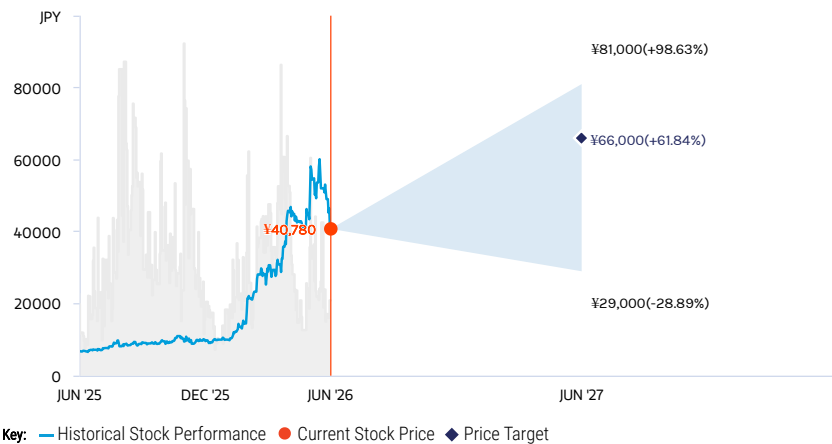
We use a residual income model, with assumptions of 9.3% for capital cost (2.0% risk-free rate, 6.2% equity risk premium, 1.18 beta), 45% payout ratio, mid-term growth rate of ~17%, and terminal growth rate of 3.5%. Our PT equates to P/E of 34.6x on our F3/28e EPS of ¥1,909.



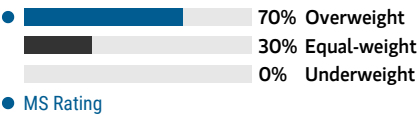
OVERWEIGHT THESIS

- We assign an OW rating from a relative perspective within the industry.
- DC-focused communications solutions and functional products are the earnings drivers..
- With major investments in liquid-cooled modules already in place, the company is moving into the recouping phase.

RISK REWARD CHART



Consensus Rating Distribution



Risk Reward Themes

New Data Era: Positive
View descriptions of Risk Rewards Themes [here](#)

BULL CASE	¥81,000	BASE CASE	¥66,000	BEAR CASE	¥29,000
Share price aligned to residual income model		Derived from a residual income model		Share price aligned to residual income model	
Further growth for fiberoptic cable business in N. America and optical components for data centers. Profit surpasses the base case by 20% from F3/27. Equates to P/E of 38.2x on estimated F3/28 EPS of ¥2,119.		We forecast recovery in communications solutions, growth in functional products profit, and continuing high margins on automotive parts. Our OP forecasts are ¥100bn for F3/27, ¥158bn for F3/28, ¥202bn for F3/29, for a growth rate of +4.1% over that period. Equates to P/E of 34.6x on our F3/28e EPS of ¥1,909.		Recovery in communications solutions faces setbacks, and automotive parts margins shrink. Profit is 30% below the base case from F3/27. Equates to P/E of 25.1x on estimated F3/28 EPS of ¥1,594.	

Risk Reward – Furukawa Electric (5801.T)

KEY EARNINGS INPUTS

Drivers	2026	2027e	2028e	2029e
Communications Solutions OP (¥, mn)	11,811	32,300	59,800	80,900
Energy Infrastructure OP (¥, mn)	9,627	8,600	8,600	8,600
Functional Products OP (¥, mn)	15,379	32,300	62,800	87,600

CATALYST CALENDAR

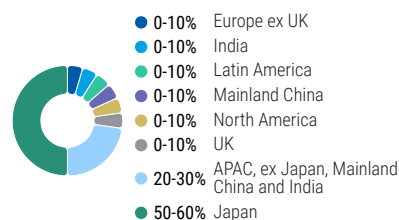
Date	Event
25 Jun 2026 - 29 Jun 2026	Furukawa Electric Co Ltd Annual Shareholders Meeting

Source: Refinitiv, Morgan Stanley

INVESTMENT DRIVERS

- Increased fiberoptic cable sales volume
- Increased optical connector and DFB sales volumes
- Increased sales volumes for thermal products
- Management attention to capital efficiency

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher sales volumes on healthier business sentiment than expected
- Faster improvement in product mix for communications solutions than expected

RISKS TO DOWNSIDE

- Decline in sales volume on weaker business sentiment than expected
- Delayed price pass-through due to sharp rises in raw material costs and other material costs
- Sharper yen appreciation than anticipated

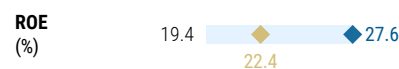
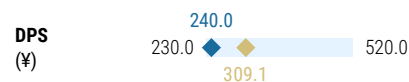
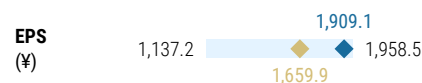
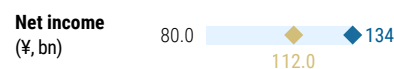
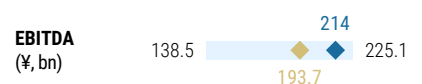
OWNERSHIP POSITIONING

Inst. Owners, % Active 66.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Mar 2028e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

Earnings Summary: Sumitomo Electric (5802.T)

Exhibit 33: Financial Summary (1)

(Unit: JPYbn)	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	CAGR	Old	Old	Old
P/L	F2016	F2017	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025	F2026e	F2027e	F2028e	26e-28e	F2026e	F2027e	F2028e	
Revenue	2,814.5	3,082.2	3,178.0	3,107.0	2,918.6	3,367.9	4,005.6	4,402.8	4,679.8	5,110.2	5,186.1	5,516.5	5,914.7	6.8%	4,973.8	5,210.5	5,432.0	
Automotive	1,513.2	1,632.0	1,709.4	1,683.6	1,602.0	1,754.2	2,186.8	2,596.4	2,734.7	2,937.2	2,942.5	2,981.9	3,022.1	1.3%	2,844.9	2,882.6	2,921.1	
Infocommunications	198.2	220.3	208.4	217.4	224.6	239.2	250.3	206.1	223.3	326.6	546.5	801.0	992.0	34.7%	522.0	666.0	802.0	
Electronics	251.1	246.3	228.9	252.2	252.6	292.5	366.0	356.5	377.2	409.1	406.6	410.1	412.1	0.7%	384.9	386.9	388.9	
Environment and Energy	621.4	718.0	759.8	712.5	634.2	833.4	928.2	980.0	1,081.3	1,178.8	1,021.0	1,051.0	1,216.0	9.1%	965.0	1,015.0	1,060.0	
Industrial Materials and Others	303.9	343.1	357.8	331.4	302.5	327.9	363.3	364.2	372.7	388.4	409.5	412.5	412.5	0.4%	397.0	400.0	400.0	
Eliminations and Corporate	-73.5	-77.4	-86.4	-90.1	-97.4	-79.3	-89.2	-100.3	-109.5	-129.9	-140.0	-140.0	-140.0		-140.0	-140.0	-140.0	
Revenue Growth (Y/Y, %)	-4.0	9.5	3.1	-2.2	-6.1	15.4	18.9	9.9	6.3	9.2	1.5	6.4	7.2		0.8	4.8	4.3	
Automotive	-1.9	7.8	4.7	-1.5	-4.8	9.5	24.7	18.7	5.3	7.4	0.2	1.3	1.3		0.1	1.3	1.3	
Infocommunications	7.3	11.1	-5.4	4.3	3.3	6.5	4.7	-17.7	8.3	46.3	67.3	46.6	23.8		61.6	27.6	20.4	
Electronics	-19.5	-1.9	-7.1	10.2	0.2	15.8	25.1	-2.6	5.8	8.4	-0.6	0.9	0.5		-0.8	0.5	0.5	
Environment and Energy	-5.8	15.5	5.8	-6.2	-11.0	31.4	11.4	5.6	10.3	9.0	-13.4	2.9	15.7		-16.5	5.2	4.4	
Industrial Materials and Others	-2.6	12.9	4.3	-7.4	-8.7	8.4	10.8	0.2	2.3	4.2	5.4	0.7	0.0		1.8	0.8	0.0	
Operating Profit	150.5	173.1	166.3	127.2	113.9	122.2	177.4	226.6	320.7	418.2	445.0	555.0	635.0	19.5%	435.0	505.0	565.0	
Automotive	98.6	96.8	84.7	68.2	48.2	12.3	55.7	144.7	172.4	179.7	178.5	186.0	192.0	3.7%	171.0	177.0	183.0	
Infocommunications	21.5	18.6	16.4	17.8	24.3	23.4	21.9	-11.6	19.9	77.4	150.0	232.0	296.0	40.5%	143.0	193.0	238.0	
Electronics	-10.9	5.4	7.0	0.5	10.0	19.8	38.3	29.3	29.3	39.5	33.0	36.0	37.0	5.9%	35.0	36.0	36.0	
Environment and Energy	20.8	24.1	30.1	27.1	25.0	44.0	37.9	42.9	78.7	90.6	50.0	64.0	73.0	20.8%	54.0	64.0	73.0	
Industrial Materials and Others	20.5	28.2	28.2	13.4	6.7	23.0	24.0	21.1	20.6	31.4	33.5	37.0	37.0	5.1%	32.0	34.5	34.5	
Eliminations and Corporate	-0.0	0.0	-0.1	0.1	-0.3	-0.3	-0.5	0.2	-0.3	-0.5	0.0	0.0	0.0		0.0	0.0	0.0	
Operating Profit Margin (%)	5.3	5.6	5.2	4.1	3.9	3.6	4.4	5.1	6.9	8.2	8.6	10.1	10.7		8.7	9.7	10.4	
Automotive	6.5	5.9	5.0	4.1	3.0	0.7	2.5	5.6	6.3	6.1	6.1	6.2	6.4		6.0	6.2	6.3	
Infocommunications	10.8	8.4	7.9	8.2	10.8	9.8	8.8	-5.6	8.9	23.7	27.4	29.0	29.8		27.4	29.0	29.7	
Electronics	-4.3	2.2	3.1	0.2	4.0	6.8	10.5	8.2	7.8	9.7	8.1	8.8	9.0		9.1	9.3	9.3	
Environment and Energy	3.3	3.4	4.0	3.8	3.9	5.3	4.1	4.4	7.3	7.7	4.9	6.1	6.0		5.6	6.3	6.9	
Industrial Materials and Others	6.7	8.2	7.9	4.1	2.2	7.0	6.6	5.8	5.5	8.1	8.2	9.0	9.0		8.1	8.6	8.6	
Equity Method Income	28.2	27.8	25.1	11.8	12.5	20.6	11.5	20.2	14.8	31.4	32.0	32.0	32.0		32.0	32.0	32.0	
Other non-operating income	-4.8	-5.9	-2.7	-8.5	-12.4	-4.6	-15.6	-31.5	-25.9	-18.3	-26.0	-26.0	-26.0		-26.0	-26.0	-26.0	
Recurring Profit	173.9	195.0	188.6	130.5	114.1	138.2	173.3	215.3	309.5	431.3	451.0	561.0	641.0	19.2%	441.0	511.0	571.0	
One-off Profit / Loss, net	-6.1	-1.7	-7.3	2.7	-3.7	21.8	23.1	23.2	-5.4	73.9	5.0	5.0	5.0		5.0	5.0	5.0	
Pretax Profit	167.8	193.3	181.4	133.2	110.3	159.9	196.5	238.5	304.1	505.2	456.0	566.0	646.0	19.0%	446.0	516.0	576.0	
Tax	41.4	53.3	51.2	44.8	41.6	50.2	64.2	69.6	82.2	104.0	118.7	149.5	172.0		115.9	135.5	152.3	
Non-controlling Interest	18.8	19.7	12.1	15.7	12.4	13.4	19.6	19.2	28.1	31.6	6.0	6.0	5.9		6.0	6.0	6.0	
Net Income for Shareholders	107.6	120.3	118.1	72.7	56.3	96.3	112.7	149.7	193.8	369.5	331.3	410.5	468.1		324.1	374.5	417.7	
Capital Expenditure	183.7	171.1	190.3	208.8	172.2	189.7	208.3	193.8	243.3	243.2	277.4	297.4	317.4		283.3	303.3	323.3	
Depreciation	130.7	141.4	148.9	163.6	168.0	180.5	196.0	206.3	206.2	209.8	235.0	245.0	255.0		235.0	245.0	255.0	
Research & Development	115.2	117.7	129.6	125.4	118.8	123.0	127.7	142.0	156.3	162.9	155.5	155.5	155.5		155.5	155.5	155.5	
Per Share Data																		
EPS	137.6	154.3	151.4	93.2	72.2	123.5	144.5	192.0	248.5	473.8	424.8	526.3	600.2	18.9%	415.6	480.2	535.6	
BPS	1,814.9	1,974.0	1,988.6	1,947.1	2,088.5	2,269.3	2,436.1	2,830.8	2,936.9	3,517.6	3,772.4	4,087.7	4,447.9	8.6%	3,482.1	3,770.3	4,091.8	
DPS	38.0	46.0	48.0	40.0	32.0	50.0	50.0	77.0	97.0	154.0	170.0	211.0	240.0	18.8%	166.0	192.0	214.0	
ROE (%)	7.7%	8.1%	7.6%	4.7%	3.6%	5.7%	6.1%	7.3%	8.6%	14.7%	11.7%	13.4%	14.1%		12.4%	13.2%	13.6%	
Dividend Payout Ratio (%)	27.6	29.8	31.7	42.9	44.3	40.5	34.6	40.1	39.0	32.5	40.0	40.1	40.0		39.9	40.0	40.0	
Shares outstanding	781.6	779.9	779.9	779.9	779.9	779.9	779.9	779.9	779.9	779.9	779.9	779.9	779.9		779.8	779.8	779.8	

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Exhibit 34: Financial Summary (2)

(Unit: JPYbn)	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	CAGR	J-GAAP	J-GAAP	J-GAAP
B/S	F2016	F2017	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025	F2026e	F2027e	F2028e	26e-28e		F2026e	F2027e	F2028e
Cash & Equivalents	180.0	180.1	168.9	249.0	251.4	255.5	279.4	268.3	294.5	235.9	438.8	521.5	606.9			511.2	590.1	688.5
Marketable Securities	0.8	0.9	0.4	2.0	3.0	4.0	4.0	1.5	1.4	1.4	1.4	1.4	1.4			1.4	1.4	1.4
Acct Receivable	648.4	668.6	708.6	670.3	755.3	784.6	842.8	912.4	911.9	948.2	1,010.6	1,075.0	1,152.6			969.2	1,015.3	1,058.5
Inventories	449.1	466.4	528.8	552.0	606.3	844.8	851.2	885.0	923.0	1,018.1	1,035.1	1,088.6	1,165.9			985.9	1,026.4	1,065.7
Other Current Assets	148.2	129.1	106.9	103.7	113.4	167.9	185.2	175.0	189.3	220.9	220.9	220.9	220.9			189.3	189.3	189.3
Total Current Assets	1,426.6	1,445.1	1,513.6	1,577.0	1,729.4	2,056.9	2,162.7	2,242.2	2,320.1	2,424.6	2,706.8	2,907.5	3,147.7			2,657.0	2,822.6	3,003.3
PP&E, net	823.2	845.8	885.8	942.5	981.2	1,026.8	1,062.8	1,098.2	1,121.8	1,189.4	1,231.8	1,284.2	1,346.6			1,220.4	1,278.7	1,347.0
Goodwill and Goodwill-like Intangibles	11.0	9.1	2.5	2.8	1.6	1.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0	0.0	0.0
Amortizable Intangibles	43.4	40.0	38.2	35.1	34.6	34.4	36.7	39.8	61.4	62.1	62.1	62.1	62.1			61.4	61.4	61.4
Investments in securities	437.3	478.8	446.6	382.0	407.4	443.9	503.8	607.1	604.7	71.3	103.3	135.3	167.3			663.7	695.7	727.7
Deferred tax assets	19.7	17.0	33.4	38.2	29.5	32.3	30.9	32.0	39.0	41.7	41.7	41.7	41.7			39.0	39.0	39.0
Other assets, noncurrent	142.5	181.5	133.2	107.0	198.2	211.4	216.2	346.1	294.6	1,035.4	1,035.4	1,035.4	1,035.4			294.6	294.6	294.6
Total Non Current Assets	1,477.0	1,572.2	1,539.6	1,507.5	1,652.5	1,750.5	1,850.3	2,123.2	2,121.5	2,399.9	2,474.3	2,558.7	2,653.1	3.6%		2,279.1	2,369.4	2,469.7
Total Assets	2,903.6	3,017.3	3,053.3	3,084.5	3,381.9	3,807.4	4,013.0	4,365.4	4,441.6	4,824.5	5,181.1	5,466.2	5,800.9	5.8%		4,936.2	5,192.0	5,473.1
Accounts Payable	378.1	367.3	379.8	361.2	397.4	445.0	446.0	554.1	571.3	601.2	640.7	673.8	721.6			610.3	635.3	659.6
Short-term debt	194.6	186.9	248.6	307.6	334.7	500.2	608.2	395.6	346.7	274.0	346.7	346.7	346.7			346.7	346.7	346.7
Other liabilities, current	251.5	249.5	252.3	244.1	275.9	314.9	345.2	357.7	368.8	472.5	472.5	472.5	472.5			368.8	368.8	368.8
Total Current liabilities	824.2	803.7	880.8	912.8	1,008.1	1,260.1	1,399.4	1,307.4	1,286.8	1,347.8	1,459.9	1,493.0	1,540.9	2.7%		1,325.8	1,350.9	1,375.2
Long-term debt	313.9	301.4	288.2	278.4	337.1	307.1	290.4	339.5	341.3	301.5	341.3	341.3	341.3			341.3	341.3	341.3
Retirement pension obligations	54.6	54.7	55.9	58.0	49.6	46.0	45.8	52.9	51.8	53.9	53.9	53.9	53.9			51.8	51.8	51.8
Deferred tax liabilities	66.0	75.0	36.7	31.3	50.0	65.1	87.9	136.1	129.7	192.0	192.0	192.0	192.0			129.7	129.7	129.7
Other liabilities, noncurrent	18.5	18.4	15.5	37.2	44.7	76.2	78.7	97.6	101.6	94.3	94.3	94.3	94.3			101.6	101.6	101.6
Total Non Current Liabilities	452.9	449.5	396.2	404.9	481.3	494.4	502.8	626.1	624.3	641.8	681.5	681.5	681.5	0.0%		624.3	624.3	624.3
Common stock	99.7	99.7	99.7	99.7	99.7	99.7	99.7	99.7	99.7	99.7	99.7	99.7	99.7			99.7	99.7	99.7
Additional paid-in capital	170.8	170.8	170.9	170.9	170.9	170.5	166.8	165.4	165.3	141.9	141.9	141.9	141.9			165.3	165.3	165.3
Retained earnings	1,061.4	1,160.6	1,216.2	1,251.8	1,346.2	1,383.0	1,493.7	1,618.7	1,903.6	2,102.3	2,348.3	2,629.2	2,629.2			2,044.1	2,268.8	2,519.6
Treasury stocks	-20.7	-20.7	-20.7	-20.8	-20.8	-20.8	-20.8	-20.8	-20.8	-20.8	-20.8	-20.8	-20.8			-20.8	-20.8	-20.8
Shareholders' Equity	1,311.2	1,410.4	1,466.1	1,501.6	1,531.6	1,595.7	1,628.8	1,738.1	1,862.9	2,124.5	2,323.2	2,569.2	2,850.1	10.8%		2,288.3	2,513.0	2,763.8
Noncontrolling interests	211.1	224.6	225.4	248.2	263.7	283.2	210.9	224.2	240.0	91.6	97.6	103.6	109.5	5.9%		270.3	276.3	282.3
Accumulated OCI	104.2	129.0	84.8	16.9	97.2	174.1	271.1	469.6	427.5	618.9	618.9	618.9	618.9			427.5	427.5	427.5
Liabs+Shareholders' Equity	2,903.6	3,017.3	3,053.3	3,084.5	3,381.9	3,807.4	4,013.0	4,365.4	4,441.6	4,824.5	5,181.1	5,466.2	5,800.9	5.8%		4,936.2	5,192.0	5,473.1

(Unit: JPYbn)	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	J-GAAP	CAGR	J-GAAP	J-GAAP	J-GAAP
C/F	F2016	F2017	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025	F2026e	F2027e	F2028e	26e-28e		F2026e	F2027e	F2028e
Net Income	107.6	120.3	118.1	72.7	56.3	96.3	112.7	149.7	193.8	369.5	331.3	410.5	468.1			324.1	374.5	417.7
Depreciation	130.7	141.4	148.9	163.6	168.0	180.5	196.0	206.3	206.2	209.8	235.0	245.0	255.0			235.0	245.0	255.0
Goodwill amortization	1.8	2.2	2.1	-10.4	1.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0	0.0	0.0
Change in accounts receivable	-29.4	-18.8	-41.0	50.9	-66.3	-27.4	-41.2	4.9	-0.9	-70.4	-62.4	-64.4	-77.6			-8.0	-46.1	-43.2
Change in inventories	-29.5	-17.6	-60.0	-27.6	-39.4	-195.1	26.5	21.3	-17.5	-47.9	-16.9	-53.5	-77.3			-10.9	-40.5	-39.2
Change in accounts payable	29.8	-11.6	12.8	-24.8	28.3	33.3	-7.3	21.4	-7.1	26.9	39.4	33.1	47.8			6.7	25.1	24.3
Other operating cash flow	-1.8	23.5	-3.2	40.2	21.5	-11.6	-21.4	-10.2	27.9	-62.8	-26.0	-26.0	-26.1			-26.0	-26.0	-26.0
Cash flow from operating activities	209.2	239.6	177.7	264.6	169.7	76.0	265.2	393.5	402.3	425.2	500.4	544.7	590.0	8.6%		521.0	531.9	588.6
Capital Expenditure	-175.2	-172.0	-178.0	-192.9	-166.8	-174.1	-184.5	-179.3	-199.8	-222.2	-277.4	-297.4	-317.4			-283.3	-303.3	-323.3
Purchase of intangible assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0	0.0	0.0
Change in investment securities	6.5	15.0	5.0	8.6	19.7	15.2	43.8	70.1	13.0	11.3	0.0	0.0	0.0			0.0	0.0	0.0
Net disposals (acquisitions)	-6.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0	0.0	0.0
Other investment cash flow	-19.9	-17.3	-11.6	6.2	-16.3	-6.5	-7.2	-14.6	-37.1	36.0	0.0	0.0	0.0			0.0	0.0	0.0
Cash flow from investing activities	-194.8	-174.3	-184.6	-178.0	-163.4	-165.4	-147.8	-123.8	-223.9	-174.9	-277.4	-297.4	-317.4	7.0%		-283.3	-303.3	-323.3
Change in short-term debt	33.2	-5.1	49.0	75.1	0.9	128.1	85.3	-241.3	-43.5	-71.3	72.7	0.0	0.0			0.0	0.0	0.0
Change in long-term debt	20.0	-13.6	-2.8	-20.1	32.3	13.5	-36.2	28.0	-7.7	-20.5	39.7	0.0	0.0			0.0	0.0	0.0
Net share issuance (repurchase)	-20.0	-0.0	-0.0	-0.0	-0.0	-0.0	-0.0	-0.0	-0.0	-0.0	0.0	0.0	0.0			0.0	0.0	0.0
Dividends paid	-37.4	-45.3	-38.2	-37.4	-25.0	-32.0	-39.0	-39.0	-68.6	-86.6	-132.6	-164.6	-187.2			-129.5	-149.7	-166.9
Other financial cash flow	-0.6	-2.8	-12.4	-18.8	-21.4	-26.8	-108.4	-40.0	-31.0	-147.7	0.0	0.0	0.0			0.0	0.0	0.0
Cash flow from financing activities	-4.8	-66.8	-4.3	-1.3	-13.1	82.8	-98.3	-292.3	-150.8	-326.0	-20.1	-164.6	-187.2	204.9%		-129.5	-149.7	-166.9
Net change in cash & cash equivalents	5.9	0.1	-11.2	80.1	2.4	4.1	23.9	-11.2	26.2	-58.6	202.9	82.8	85.4			108.2	78.9	98.4
FX effect	-3.5	1.3	-0.6	-5.4	7.8	10.6	4.8	11.3	-1.5	17.1	0.0	0.0	0.0			0.0	0.0	0.0
Other	-0.2	0.3	0.7	0.2	1.5	0.2	0.0	0.2	0.2	0.0	0.0	0.0	0.0			0.0	0.0	0.0
Cash at end of period	180.0	180.1	168.9	249.0	251.4	255.5	279.4	268.3	294.5	235.9	438.8	521.5	606.9	17.6%		511.2	590.1	688.5

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Exhibit 35: Financial Summary (3)

(Unit: JPYbn)																
P&L	F2025				F2026				F2027				F2028			
	1Q	2Q	3Q	4Q	1Qe	2Qe	3Qe	4Qe	1Qe	2Qe	3Qe	4Qe	1Qe	2Qe	3Qe	4Qe
Revenue	1,148.4	1,225.0	1,313.5	1,423.2	1,208.9	1,244.2	1,318.7	1,414.5	1,288.8	1,334.1	1,409.4	1,484.4	1,389.9	1,432.2	1,507.8	1,585.0
Automotive	670.6	707.6	756.9	802.0	675.4	704.9	761.0	801.2	684.3	714.3	771.2	812.1	693.4	723.9	781.6	823.2
Infocommunications	61.7	73.8	85.2	106.0	114.8	122.3	137.8	171.8	183.8	192.3	206.8	218.3	230.3	240.3	254.3	267.3
Electronics	90.0	107.2	107.4	104.4	104.7	107.0	103.9	91.0	106.7	107.5	104.4	91.5	107.2	108.0	104.9	92.0
Environment and Energy	262.9	273.1	298.1	344.6	251.0	246.0	247.0	277.0	251.0	256.0	257.0	287.0	296.0	296.0	297.0	327.0
Industrial Materials and Others	92.9	95.4	98.4	101.7	98.0	99.0	104.0	108.5	98.0	99.0	105.0	110.5	98.0	99.0	105.0	110.5
Eliminations and Corporate	-29.6	-32.1	-32.7	-35.6	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0	-35.0
Revenue Growth (Y/Y, %)	2.9	8.2	10.1	14.9	5.3	1.6	0.4	-0.6	6.6	7.2	6.9	4.9	7.8	7.4	7.0	6.8
Automotive	1.2	10.1	7.2	10.9	0.7	-0.4	0.5	-0.1	1.3	1.3	1.3	1.4	1.3	1.3	1.3	1.4
Infocommunications	16.4	45.7	51.6	67.0	86.1	65.7	61.7	62.0	60.1	57.3	50.1	27.1	25.3	25.0	23.0	22.5
Electronics	1.8	4.1	9.7	18.8	16.3	-0.2	-3.3	-12.9	1.9	0.5	0.5	0.5	0.5	0.5	0.5	0.5
Environment and Energy	5.9	1.8	11.4	15.9	-4.5	-9.9	-17.1	-19.6	0.0	4.1	4.0	3.6	17.9	15.6	15.6	13.9
Industrial Materials and Others	3.6	-0.7	5.1	9.0	5.5	3.8	5.6	6.7	0.0	0.0	1.0	1.8	0.0	0.0	0.0	0.0
Operating Profit	60.3	92.7	118.0	147.1	83.9	99.5	124.7	136.9	115.4	129.4	152.0	158.2	137.4	149.1	171.0	177.5
Automotive	26.6	38.8	53.0	61.3	30.3	37.3	52.8	58.3	33.3	38.3	54.3	60.3	36.3	39.3	55.3	61.3
Infocommunications	8.1	13.9	24.0	31.3	29.5	33.1	38.2	49.2	50.9	55.4	60.4	65.3	66.9	71.6	76.4	81.1
Electronics	6.3	11.7	11.4	10.1	7.5	11.5	12.0	2.2	7.5	11.5	13.0	4.2	8.5	11.5	13.0	4.2
Environment and Energy	13.6	20.8	21.6	34.5	9.0	10.0	13.6	17.4	15.5	15.5	15.6	17.4	17.5	18.0	17.6	19.9
Industrial Materials and Others	5.6	7.3	8.3	10.2	7.7	7.7	8.2	9.9	8.3	8.8	8.8	11.1	8.3	8.8	8.8	11.1
Eliminations and Corporate	0.0	0.1	-0.4	-0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Operating Profit Margin (%)	5.3	7.6	9.0	10.3	6.9	8.0	9.5	9.7	9.0	9.7	10.8	10.7	9.9	10.4	11.3	11.2
Automotive	4.0	5.5	7.0	7.6	4.5	5.3	6.9	7.3	4.9	5.4	7.0	7.4	5.2	5.4	7.1	7.4
Infocommunications	13.2	18.9	28.2	29.6	25.7	27.1	27.7	28.6	27.7	28.8	29.2	29.9	29.1	29.8	30.0	30.3
Electronics	7.0	10.9	10.6	9.7	7.1	10.7	11.5	2.4	7.0	10.7	12.4	4.5	7.9	10.6	12.3	4.5
Environment and Energy	5.2	7.6	7.3	10.0	3.6	4.1	5.5	6.3	6.2	6.1	6.1	6.1	5.9	6.1	5.9	6.1
Industrial Materials and Others	6.1	7.6	8.4	10.0	7.9	7.8	7.9	9.1	8.5	8.9	8.4	10.0	8.5	8.9	8.4	10.0
Equity Method Income	3.2	8.0	7.8	12.4	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0
Other non-operating income	-1.6	-7.1	-4.9	-4.7	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5	-6.5
Recurring Profit	61.8	93.7	120.9	154.8	85.4	101.0	126.2	138.4	116.9	130.9	153.5	159.7	138.9	150.6	172.5	179.0
One-off Profit / Loss, net	-0.6	3.2	1.0	70.3	0.0	0.0	0.0	5.0	0.0	0.0	0.0	5.0	0.0	0.0	0.0	5.0
Pretax Profit	61.2	96.9	121.9	225.1	85.4	101.0	126.2	143.4	116.9	130.9	153.5	164.7	138.9	150.6	172.5	184.0
Tax	20.3	26.7	33.2	23.8	21.7	26.0	33.1	37.9	30.5	34.4	40.7	43.9	36.7	39.9	46.1	49.3
Non-controlling Interest	5.8	7.4	9.4	17.1	1.5	3.5	0.5	0.5	1.5	3.5	0.5	0.5	1.4	3.5	0.5	0.5
Net Income for Shareholders	35.1	62.8	79.3	192.3	62.2	71.5	92.6	105.0	84.9	93.0	112.3	120.3	100.8	107.2	125.9	134.2

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Risk Reward – Sumitomo Electric (5802.T)

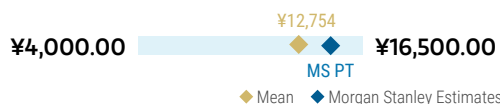
Earnings driven by CPO products

PRICE TARGET ¥14,500

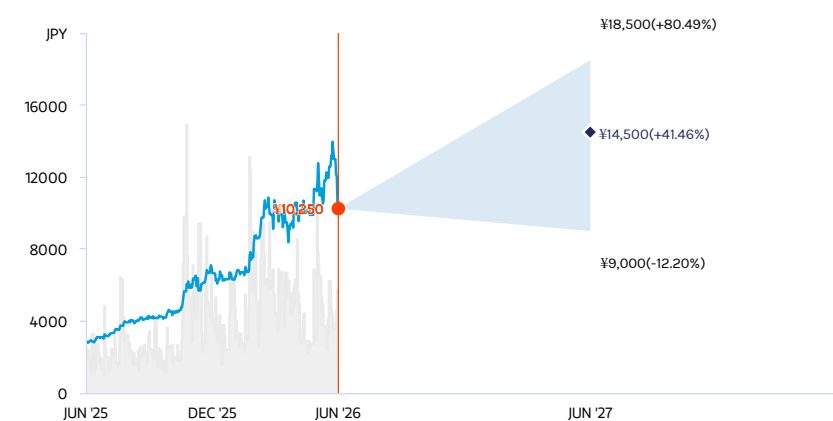
We use a residual income model, with assumptions including 8.7% capital cost (2.0% risk-free rate, 6.2% equity risk premium, 1.07 beta), 50% payout ratio, mid-term growth rate of ~13.8%, terminal growth rate of 3.0%. Our PT equates to P/E of 27.5x on F3/28e EPS of ¥526.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



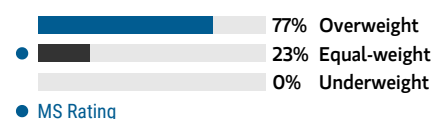
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We assign an EW rating from a relative perspective in the industry.
- The firm's biggest earnings drivers are multicore fiberoptic cable, optical connectors and optical devices.
- Wire harness business is firm but unlikely to see sizeable improvement in margins.
- The market wants to see management paying attention to capital efficiency.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Renewable Energy: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

¥18,500

Share price aligned to residual income model

Optical devices, optical connectors and multicore fiberoptic cables show further growth in the Infocommunications segment. Profit exceeds our base case by 20% from F3/27. Equates to P/E of 31.8x on estimated F3/28 EPS of ¥579.

BASE CASE

¥14,500

Share price aligned to residual income model

We forecast gradual recovery for Infocommunications. Our OP forecasts are ¥445bn for F3/27, ¥555bn for F3/28, ¥635bn for F3/29, for a growth rate of +19.5% over that period. Our PT equates to P/E of 27.5x on F3/28e EPS of ¥526.

BEAR CASE

¥9,000

Share price aligned to residual income model

Earnings deteriorate in the Infocommunications and Automotive segments as business sentiment worsens further, and profit is 30% below the base case from F3/27. Equates to P/E of 19.7x on estimated F3/28 EPS of ¥447.

Risk Reward – Sumitomo Electric (5802.T)

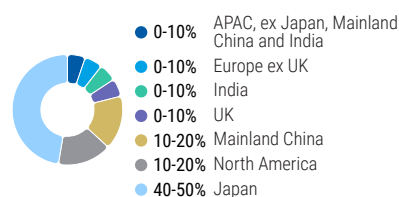
KEY EARNINGS INPUTS

Drivers	2026	2027e	2028e	2029e
Automotive OP (¥, mn)	179,700	178,500	186,000	192,000
Infocommunications OP (¥, mn)	77,435	150,000	232,000	296,000

INVESTMENT DRIVERS

- Increase in wiring harness volume per vehicle
- Expansion of fiberoptic cable and device sales
- Shift to a management approach mindful of capital efficiency

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increase in sales volume on healthier business sentiment than expected
- More improvement in product mix than expected
- Stronger reinforcement of shareholder return than anticipated

RISKS TO DOWNSIDE

- Decline in sales volume on weaker business sentiment than expected
- Delays in price passthrough due to sharp rises in raw material costs and other material costs
- Faster advance in yen appreciation than anticipated

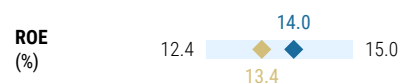
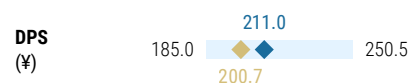
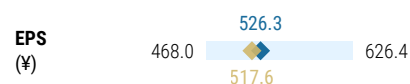
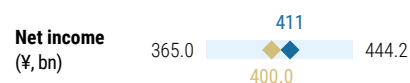
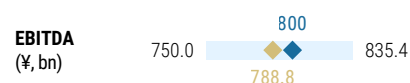
OWNERSHIP POSITIONING

Inst. Owners, % Active **59.1%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Mar 2028e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Earnings Summary: Fujikura (5803.T)

Exhibit 36: Financial Summary (1)

(Unit: JPYbn)	J-GAAP F2016	J-GAAP F2017	J-GAAP F2018	J-GAAP F2019	J-GAAP F2020	J-GAAP F2021	J-GAAP F2022	J-GAAP F2023	J-GAAP F2024	J-GAAP F2025	J-GAAP F2026e	J-GAAP F2027e	J-GAAP F2028e	CAGR 26e-27e	Old F2026e	Old F2027e	Old F2028e
P/L																	
Revenue	653.8	740.1	710.8	672.3	643.7	670.4	806.5	799.8	979.4	1,182.4	1,348.7	1,443.1	1,597.9	8.8%	1,338.6	1,469.8	1,620.6
Power & Telecommunication	349.7	371.8	354.9	327.8	305.9	353.6	434.4										
Power	196.0	212.9	204.0	187.9	165.6	179.2	206.8										
Telecommunication	153.6	158.9	150.9	140.0	140.3	174.5	227.6										
Telecommunication Systems							291.4	297.7	451.3	653.0	822.4	912.3	1,063.7		816.6	943.2	1,089.4
Electronics Products	156.7	196.0	185.1	175.1	199.9	178.5	197.3	165.0	185.9	172.3	179.0	182.0	183.8		174.7	177.7	180.8
Automotive Products	133.1	157.1	154.1	152.5	121.9	121.3	155.9	179.5	177.1	179.4	172.0	172.0	172.0		172.0	172.0	172.0
Energy							142.9	140.2	145.2	157.0	154.5	156.0	157.6		154.5	156.0	157.6
Real Estate	10.2	11.0	10.9	11.3	10.9	10.9	10.8	10.5	10.8	11.0	11.2	11.2	11.2		11.2	11.2	11.2
Other	4.1	4.3	5.8	5.6	5.2	6.0	8.1	6.9	9.1	9.7	9.6	9.6	9.6		9.6	9.6	9.6
Revenue Growth (Y/Y, %)	-3.6	13.2	-4.0	-5.4	-4.3	4.1	20.3	-0.8	22.5	20.7	14.1	7.0	10.7		18.4	9.8	10.3
Power & Telecommunication	-4.6	6.3	-4.6	-7.6	-6.7	15.6	22.8										
Power	-7.9	8.6	-4.2	-7.9	-11.8	8.2	15.4										
Telecommunication	-0.1	3.4	-5.1	-7.2	0.2	24.4	30.4										
Telecommunication Systems							2.2	51.6	44.7	25.9	10.9	16.6		26.7	15.5	15.5	
Electronics Products	-2.7	25.0	-5.6	-5.4	14.1	-10.7	10.5	-16.4	12.7	-7.3	3.9	1.7	1.0	3.3	1.7	1.7	
Automotive Products	-2.0	18.0	-1.9	-1.1	-20.0	-0.5	28.5	15.2	-1.4	1.3	-4.1	0.0	0.0	-1.7	0.0	0.0	
Energy							1.9	3.6	8.1	-1.6	1.0	1.0		3.0	1.0	1.0	
Real Estate	-4.9	7.7	-0.7	3.7	-3.6	-0.0	-1.0	-2.3	2.9	1.9	1.5	0.0	0.0	1.8	0.0	0.0	
Other	-3.3	3.7	36.8	-4.4	-7.5	16.7	35.3	-15.5	32.8	6.1	-0.9	0.0	0.0	0.0	0.0	0.0	
Operating Profit	34.2	34.3	27.7	3.3	24.4	38.3	70.2	69.5	135.5	188.7	260.0	310.0	370.0	19.3%	280.0	335.0	390.0
Power & Telecommunication	20.4	22.4	17.8	4.6	18.1	25.2	43.1										
Telecommunication Systems							39.9	39.2	92.2	152.7	230.8	277.0	336.8	20.8%	237.3	191.9	346.5
Electronics Products	7.6	10.4	8.3	-2.3	4.9	13.8	27.6	16.6	22.9	7.7	11.0	12.0	12.2	5.3%	19.8	20.3	20.7
Automotive Products	2.6	-3.2	-3.2	-3.8	-3.7	-5.6	-6.6	1.2	5.8	6.8	6.0	6.0	6.0	0.0%	6.3	6.3	6.3
Energy							4.3	8.7	11.9	18.9	11.8	14.0	14.0	8.9%	14.0	14.0	14.0
Real Estate	4.7	5.5	5.0	5.4	5.2	5.1	5.0	4.9	4.9	5.0	5.0	5.0	5.0	0.0%	4.9	4.9	4.9
Other	-0.9	-0.9	-0.2	-0.5	-0.0	-0.2	-1.0	-1.1	-2.2	-2.4	-4.6	-4.0	-4.0	-6.7%	-2.3	-2.4	-2.4
Operating Profit Margin (%)	5.2	4.6	3.9	0.5	3.8	5.7	8.7	8.7	13.8	16.0	19.3	21.5	23.2		20.9	22.9	24.1
Power & Telecommunication	5.8	6.0	5.0	1.4	5.9	7.1	9.9										
Telecommunication Systems							13.7	13.2	20.4	23.4	28.1	30.4	31.7		29.1	30.9	31.8
Electronics Products	4.8	5.3	4.5	-1.3	2.4	7.7	14.0	10.1	12.3	4.4	6.1	6.6	6.6		11.3	11.4	11.4
Automotive Products	1.9	-2.0	-2.1	-2.5	-3.0	-4.6	-4.2	0.7	3.3	3.8	3.5	3.5	3.5		3.7	3.7	3.7
Energy							3.0	6.2	8.2	12.1	7.6	9.0	8.9		9.1	9.0	8.9
Real Estate	45.8	50.2	46.1	47.7	47.7	47.2	46.3	46.2	44.9	44.9	44.6	44.6	44.6		43.8	43.8	43.8
Other	-22.4	-20.3	-3.9	-9.2	-0.9	-3.7	-12.3	-15.5	-23.7	-24.7	-47.9	-41.7	-41.7		-24.0	-25.0	-25.0
Equity Method Income	1.0	1.5	1.2	1.1	0.4	2.1	2.1	2.7	5.7	12.0	4.0	4.0	4.0		4.0	4.0	4.0
Other non-operating income	-2.7	-1.7	-7.9	-3.1	-6.5	-6.3	-5.1	-2.4	-4.0	-1.2	-5.0	-5.0	-5.0		-5.0	-5.0	-5.0
Recurring Profit	32.6	34.1	21.0	1.3	18.4	34.1	67.1	69.7	137.2	199.5	259.0	309.0	369.0	19.4%	279.0	334.0	389.0
One-off Profit / Loss, net	-4.2	-5.4	-10.5	-21.1	-17.2	17.6	-17.2	-5.5	-15.8	5.1	-8.0	-8.0	-8.0		-8.0	-8.0	-8.0
Pretax Profit	28.3	28.7	10.5	-19.8	1.2	51.7	50.0	64.2	121.4	204.6	251.0	301.0	361.0	19.9%	271.0	326.0	381.0
Tax	11.3	7.5	7.6	17.3	5.3	11.5	8.0	11.1	26.9	42.6	60.2	72.2	86.7		65.0	78.2	91.5
Non-controlling Interest	4.1	2.8	1.5	1.4	1.2	1.0	1.7	2.1	3.3	4.9	3.2	3.2	3.2		3.2	3.2	3.2
Net Income for Shareholders	12.9	18.4	1.5	-38.5	-5.4	39.1	40.3	51.0	91.1	157.2	187.6	225.6	271.1	20.2%	202.8	244.6	286.3
Capital Expenditure	45.6	42.6	55.8	30.1	17.7	16.2	15.7	20.8	30.7	40.3	176.6	176.6	176.6		87.0	87.0	87.0
Depreciation	27.6	26.9	31.6	35.7	33.6	30.5	29.1	22.9	21.4	24.1	22.3	24.3	26.3		22.3	24.3	26.3
Research & Development	15.6	16.3	17.5	17.3	16.5	16.4	15.0	17.1	18.4	19.0	20.0	21.0	22.0		17.0	17.0	17.0
Per Share Data																	
EPS	44.6	64.4	0.8	-22.8	-3.2	23.6	24.4	30.8	55.0	94.9	113.3	136.3	163.7	20.2%	122.5	147.7	172.9
BPS	118.9	128.1	126.6	89.3	98.5	133.3	163.1	206.1	246.2	338.5	401.8	478.1	571.8	19.3%	361.4	439.2	522.1
DPS	10.0	14.0	2.0	0.8	0.0	1.7	5.0	9.2	16.7	35.8	50.0	60.0	70.0	18.3%	60.0	70.0	90.0
ROE (%)	6.4	8.7	0.7	-20.9	-3.4	20.4	16.4	16.7	24.3	32.5	30.6	31.0	31.0		37.1	36.9	36.9
Dividend Payout Ratio (%)	22.4	21.8	235.6	-3.7	0.0	7.1	20.5	29.7	30.3	37.7	44.1	44.0	42.7		49.0	47.4	52.0
Net D/E		0.9	1.0	1.4	1.0	0.5	0.3	0.1	-0.1	-0.2	-0.0	-0.0	0.0		-0.1	-0.1	-0.1
Shares outstanding	1,735.2	1,711.5	1,711.7	1,691.7	1,652.2	1,653.9	1,654.7	1,654.8	1,655.2	1,655.5	1,655.5	1,655.5	1,655.5		1,655.5	1,655.5	1,655.5

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Exhibit 37: Financial Summary (2)

(Unit: JPYbn)	J-GAAP F2016	J-GAAP F2017	J-GAAP F2018	J-GAAP F2019	J-GAAP F2020	J-GAAP F2021	J-GAAP F2022	J-GAAP F2023	J-GAAP F2024	J-GAAP F2025	J-GAAP F2026e	J-GAAP F2027e	J-GAAP F2028e	CAGR 26e-27e	J-GAAP F2026e	J-GAAP F2027e	J-GAAP F2028e
B/S																	
Cash & Equivalents	30.7	33.6	36.2	44.0	74.2	90.4	106.6	147.0	184.2	178.9	169.2	141.0	102.3		178.3	190.7	208.0
Marketable Securities	1.1	0.7	0.6	0.7	0.6	0.6	0.7	0.8	0.7	2.3	2.3	2.3	2.3		0.7	0.7	0.7
Acct Receivable	149.0	151.2	141.6	128.9	123.3	144.9	155.4	164.2	203.5	252.6	249.2	237.0	262.5		274.8	301.8	332.7
Inventories	92.5	113.9	117.9	103.7	100.5	112.6	131.0	131.5	147.2	183.8	206.7	216.0	235.8		200.4	216.4	236.4
Other Current Assets	23.3	28.8	27.0	22.5	18.8	20.6	25.4	23.8	25.6	39.9	39.9	39.9	39.9		25.6	25.6	25.6
Total Current Assets	296.5	328.2	323.3	299.8	317.4	369.1	419.0	467.3	561.3	657.6	667.3	636.3	642.9		680.0	735.2	803.5
PP&E, net	195.3	211.3	231.8	210.6	184.0	174.1	163.2	165.7	171.4	196.9	351.2	503.5	653.8		247.3	310.0	370.7
Goodwill and Goodwill-like Intangibles	7.1	4.2	2.7	7.1	6.3	6.9	6.3	10.1	8.5	7.5	7.5	7.5	7.5		8.5	8.5	8.5
Amortizable Intangibles	10.0	9.9	9.1	8.7	8.1	8.5	8.8	10.3	9.7	10.6	10.6	10.6	10.6		9.7	9.7	9.7
Investments in securities	41.3	38.4	32.5	28.2	27.7	29.1	30.4	35.2	34.3	48.3	52.3	56.3	60.3		44.5	48.5	52.5
Deferred tax assets	12.5	12.5	15.7	6.0	7.3	7.4	11.9	16.7	22.5	29.5	29.5	29.5	29.5		22.5	22.5	22.5
Other assets, noncurrent	26.0	33.5	23.3	15.8	18.5	16.4	17.0	18.5	22.5	19.2	19.2	19.2	19.2		22.5	22.5	22.5
Total Non Current Assets	292.1	309.8	315.1	276.3	251.8	242.4	237.6	256.6	269.0	311.9	470.2	626.5	780.8	28.9%	355.0	421.7	486.4
Total Assets	588.6	638.1	638.3	576.1	569.1	611.5	656.5	723.9	830.3	969.5	1,137.5	1,262.8	1,423.6	11.9%	1,035.0	1,156.9	1,289.9
Accounts Payable	77.2	77.2	65.0	65.8	68.5	71.8	74.7	82.4	104.9	126.8	129.6	135.4	147.8		125.6	135.6	148.2
Short-term debt	84.6	96.8	137.5	138.7	102.8	71.0	51.4	59.6	76.9	34.7	29.6	19.6	9.6		29.6	19.6	9.6
Other liabilities, current	41.4	59.3	56.6	48.5	45.0	55.6	56.3	58.3	99.4	116.4	116.4	116.4	116.4		99.4	99.4	99.4
Total Current liabilities	203.2	233.2	259.2	253.0	216.3	198.4	182.3	200.3	281.1	277.9	275.6	271.4	273.8	-0.3%	254.5	254.5	257.1
Long-term debt	141.3	140.6	116.0	122.0	139.1	140.5	141.5	132.6	70.3	50.3	112.6	112.6	112.6		102.6	92.6	82.6
Retirement pension obligations	8.2	8.5	9.1	11.2	11.0	10.5	11.9	10.7	10.6	9.9	9.9	9.9	9.9		10.6	10.6	10.6
Deferred tax liabilities	0.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	0.0
Other liabilities, noncurrent	11.2	13.7	12.9	17.8	18.2	18.4	26.9	13.7	33.0	38.2	38.2	38.2	38.2		33.0	33.0	33.0
Total Non Current Liabilities	160.9	162.9	138.2	151.0	168.3	169.5	180.4	157.0	113.9	98.3	160.7	160.7	160.7	0.0%	146.3	136.3	126.3
Common stock	53.1	53.1	53.1	53.1	53.1	53.1	53.1	53.1	53.1	53.1	53.1	53.1	53.1		53.1	53.1	53.1
Additional paid-in capital	30.0	30.0	29.6	27.9	27.7	28.1	26.5	26.1	24.3	24.5	24.5	24.5	24.5		24.3	24.3	24.3
Retained earnings	118.9	133.8	131.3	89.9	87.5	126.5	161.1	201.8	272.8	385.3	490.1	616.4	771.6		463.6	592.3	729.6
Treasury stocks	-5.9	-6.4	-6.3	-10.9	-10.9	-10.6	-10.5	-10.5	-10.4	-10.4	-10.4	-10.4	-10.4		-10.4	-10.4	-10.4
Shareholders' Equity	196.0	210.5	207.6	159.9	157.5	197.1	230.3	270.5	339.8	452.5	557.3	683.6	838.8	22.7%	530.6	659.3	796.6
Noncontrolling interests	21.8	22.7	24.2	20.0	21.7	23.2	23.8	25.5	27.8	32.8	36.0	39.2	42.4		35.9	39.1	42.3
Accumulated OCI	6.7	8.9	9.1	-7.9	5.4	23.4	39.7	70.6	67.7	107.9	107.9	107.9	107.9		67.7	67.7	67.7
Liabs+Shrholders Eq	588.6	638.1	638.3	576.1	569.1	611.5	656.5	723.9	830.3	969.5	1,137.5	1,262.8	1,423.6	11.9%	1,035.0	1,156.9	1,289.9
(Unit: JPYbn)																	
C/F																	
Net Income	12.9	18.4	1.5	-38.5	-5.4	39.1	40.3	51.0	91.1	157.2	187.6	225.6	271.1		202.8	244.6	286.3
Depreciation	27.6	26.9	31.6	35.7	33.6	30.5	29.1	22.9	21.4	24.1	22.3	24.3	26.3		22.3	24.3	26.3
Goodwill amortization	3.5	2.6	1.9	2.1	1.6	0.8	1.1	1.3	1.5	4.7	0.0	0.0	0.0		0.0	0.0	0.0
Change in accounts receivable	-7.5	-3.8	9.7	2.6	9.7	-14.4	-2.2	3.6	0.0	0.0	3.4	12.2	-25.4		-36.8	-26.9	-31.0
Change in inventories	-11.4	-22.1	-4.7	9.9	6.6	-8.1	-13.3	9.4	0.0	0.0	-22.9	-9.3	-19.8		-26.1	-15.9	-20.0
Change in accounts payable	6.4	2.1	-12.1	5.0	-0.4	-2.6	-3.4	-1.9	0.0	0.0	2.8	5.8	12.4		16.4	10.0	12.6
Other operating cash flow	12.1	3.8	14.2	29.6	16.9	-5.0	6.4	8.2	1.9	-53.0	-0.8	-0.8	-0.8		-0.8	-0.8	-0.8
Cash flow from operating activities	43.6	27.8	42.0	46.4	62.6	40.4	58.1	94.4	115.9	132.9	192.4	257.8	263.8	17.1%	177.7	235.2	273.4
Capital Expenditure	-46.5	-41.0	-56.1	-32.6	-18.6	-15.8	-15.4	-20.8	-29.1	-39.1	-176.6	-176.6	-176.6		-87.0	-87.0	-87.0
Purchase of intangible assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	0.0
Change in investment securities	0.6	5.0	6.6	5.9	5.9	0.4	1.0	1.8	1.8	2.5	0.0	0.0	0.0		0.0	0.0	0.0
Net disposals (acquisitions)	-1.5	0.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	0.0
Other investment cash flow	-13.2	0.9	1.3	-12.8	5.6	23.2	4.7	-2.4	6.4	0.3	0.0	0.0	0.0		0.0	0.0	0.0
Cash flow from investing activities	-60.6	-34.4	-48.2	-39.4	-7.1	7.8	-9.7	-21.5	-20.9	-36.2	-176.6	-176.6	-176.6	0.0%	-87.0	-87.0	-87.0
Change in short-term debt	-4.7	13.9	19.4	-0.4	-8.6	-24.7	-17.1	-6.3	-17.8	-1.9	-5.2	-10.0	-10.0		-10.0	-10.0	-10.0
Change in long-term debt	32.2	-0.2	-6.7	14.6	-17.4	-9.7	-4.4	-2.5	-12.8	-61.0	62.4	0.0	0.0		-10.0	-10.0	-10.0
Net share issuance (repurchase)	-7.9	-0.0	0.0	-4.6	-0.0	-0.0	0.0	-0.4	-1.7	0.2	0.0	0.0	0.0		0.0	0.0	0.0
Dividends paid	-3.2	-3.6	-4.0	-2.9	0.0	0.0	-6.4	-10.9	-18.2	-44.6	-82.8	-99.3	-115.9		-99.3	-115.9	-149.0
Other financial cash flow	-0.0	-0.5	-0.4	-4.9	-0.5	-2.5	-6.0	-15.9	-6.8	-4.0	0.0	0.0	0.0		0.0	0.0	0.0
Cash flow from financing activities	16.4	9.6	8.4	1.7	-26.5	-36.9	-33.9	-36.0	-57.4	-111.3	-25.6	-109.3	-125.9	122.0%	-119.3	-135.9	-169.0
Net change in cash & cash equivalents	-1.4	2.9	2.7	7.7	30.2	16.3	16.1	40.4	37.2	-5.3	-9.7	-28.1	-38.7		-28.6	12.3	17.4
FX effect	-0.8	-0.2	0.5	-1.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	0.0
Other	0.0	0.0	0.0	0.0	1.3	5.0	1.6	3.5	-0.4	9.3	0.0	0.0	0.0		0.0	0.0	0.0
Cash at end of period	30.7	33.6	36.2	44.0	74.2	90.4	106.6	147.0	184.2	178.9	169.2	141.0	102.3	-22.2%	178.3	190.7	208.0

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Exhibit 38: Financial Summary (3)

(Unit: JPYbn)																
P&L	F2025				F2026				F2027				F2028			
	1Q	2Q	3Q	4Qe	1Qe	2Qe	3Qe	4Qe	1Qe	2Qe	3Qe	4Qe	1Qe	2Qe	3Qe	4Qe
Revenue	267.9	291.1	295.9	327.4	322.8	337.7	349.2	338.9	350.9	362.9	370.6	358.8	373.9	383.6	406.4	434.0
Power& Telecommunication																
Power																
Telecommunication																
Telecommunication Systems	143.9	159.7	160.6	188.9	195.8	201.0	211.0	214.5	222.7	224.9	231.3	233.3	244.9	244.6	266.5	307.8
Electronics Products	39.5	46.7	45.5	40.6	41.2	48.7	47.8	41.3	42.0	49.6	48.4	42.0	42.5	50.2	48.7	42.4
Automotive Products	44.1	42.1	43.3	49.9	44.0	44.0	42.0	42.0	44.0	44.0	42.0	42.0	44.0	44.0	42.0	42.0
Energy	35.6	37.7	41.9	41.8	36.6	38.8	43.2	35.9	37.0	39.2	43.6	36.3	37.4	39.6	44.0	36.6
Real Estate	2.8	2.8	2.7	2.7	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8	2.8
Other	2.1	2.2	2.0	3.5	2.4	2.4	2.4	2.4	2.4	2.4	2.4	2.4	2.4	2.4	2.4	2.4
Revenue Growth (Y/Y, %)	22.7	27.0	12.3	22.0	20.5	16.0	18.0	3.5	8.7	7.4	6.1	5.9	6.6	5.7	9.7	21.0
Power& Telecommunication																
Power																
Telecommunication																
Telecommunication Systems	58.1	68.0	31.1	32.2	36.1	25.9	31.4	13.6	13.7	11.9	9.6	8.8	10.0	8.7	15.2	31.9
Electronics Products	5.1	-8.5	-16.6	-5.0	4.2	4.3	5.1	1.7	1.9	1.8	1.3	1.7	1.2	1.2	0.6	1.0
Automotive Products	-8.7	-3.5	0.9	18.2	-0.3	4.6	-3.0	-15.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Energy	-4.5	7.8	7.5	22.9	3.0	3.0	3.0	-14.2	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Real Estate	3.5	2.0	1.4	0.8	0.6	1.0	2.2	2.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	37.3	16.4	2.8	-9.5	16.7	9.2	22.6	-31.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Operating Profit	41.1	49.1	52.0	46.5	61.5	66.2	67.2	65.1	74.0	79.0	79.8	77.2	83.6	86.3	93.9	106.2
Power& Telecommunication																
Telecommunication Systems	3.3	4.2	7.3	4.1	3.0	3.7	2.7	2.4	3.5	4.2	3.2	3.1	3.5	4.2	3.2	3.1
Electronics Products	34.0	39.9	40.4	38.5	55.2	57.1	58.5	60.0	66.7	68.9	70.4	71.0	76.2	76.2	84.5	99.9
Automotive Products	1.7	3.3	1.9	0.8	1.9	3.9	4.4	0.8	2.0	4.2	4.6	1.2	2.1	4.2	4.6	1.3
Energy	1.4	0.9	1.6	3.0	1.6	1.5	1.4	1.5	1.6	1.5	1.4	1.5	1.6	1.5	1.4	1.5
Real Estate	1.4	1.1	1.2	1.2	1.2	1.3	1.2	1.3	1.2	1.3	1.2	1.3	1.2	1.3	1.2	1.3
Other	-0.6	-0.3	-0.4	-1.1	-1.4	-1.3	-1.0	-0.9	-1.0	-1.1	-1.0	-0.9	-1.0	-1.1	-1.0	-0.9
Operating Profit Margin (%)	15.3	16.9	17.6	14.2	19.1	19.6	19.2	19.2	21.1	21.8	21.5	21.5	22.4	22.5	23.1	24.5
Power& Telecommunication																
Telecommunication Systems	9.3	11.1	17.5	9.9	8.2	9.5	6.3	6.7	9.5	10.7	7.3	8.6	9.4	10.6	7.3	8.5
Electronics Products	23.6	25.0	25.2	20.4	28.2	28.4	27.7	28.0	30.0	30.6	30.4	30.4	31.1	31.2	31.7	32.5
Automotive Products	4.2	7.0	4.2	2.0	4.6	8.0	9.2	1.9	4.8	8.5	9.5	2.9	4.9	8.4	9.4	3.1
Energy	3.1	2.1	3.6	6.0	3.6	3.4	3.3	3.6	3.6	3.4	3.3	3.6	3.6	3.4	3.3	3.6
Real Estate	48.6	41.2	45.5	44.4	42.9	46.4	42.9	46.4	42.9	46.4	42.9	46.4	42.9	46.4	42.9	46.4
Other	-28.8	-12.2	-22.1	-31.7	-58.3	-54.2	-41.7	-37.5	-41.7	-45.8	-41.7	-37.5	-41.7	-45.8	-41.7	-37.5
Equity Method Income	2.0	2.2	1.0	2.9	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Other non-operating income	-1.3	-1.4	5.3	-0.0	-1.0	-1.5	-1.5	-1.0	-1.0	-1.5	-1.5	-1.0	-1.0	-1.5	-1.5	-1.0
Recurring Profit	41.8	49.9	58.4	49.4	61.5	65.7	66.7	65.1	74.0	78.5	79.3	77.2	83.6	85.8	93.4	106.2
One-off Profit / Loss, net	1.9	-1.3	2.8	1.8	-3.0	-1.0	-1.0	-3.0	-3.0	-1.0	-1.0	-3.0	-3.0	-1.0	-1.0	-3.0
Pretax Profit	43.7	48.6	61.2	51.2	58.5	64.7	65.7	62.1	71.0	77.5	78.3	74.2	80.6	84.8	92.4	103.2
Tax	11.1	11.5	14.9	5.1	14.0	15.5	15.8	14.9	17.0	18.6	18.8	17.8	19.3	20.4	22.2	24.8
Non-controlling Interest	1.3	0.9	1.9	0.9	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.8
Net Income for Shareholders	31.3	35.8	44.8	45.2	43.7	48.4	49.1	46.4	53.2	58.1	58.7	55.6	60.5	63.6	69.4	77.6

Source: Morgan Stanley Research, e = Morgan Stanley Research estimates

Risk Reward – Fujikura (5803.T)

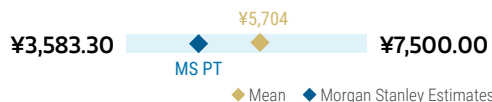
Strengths in multicore fiberoptic cables and optical connectors

PRICE TARGET ¥4,700

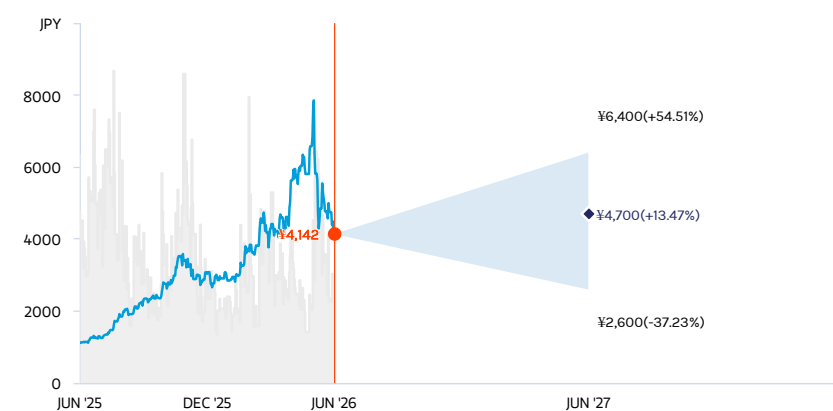
We use a residual income model, with assumptions of 10.0% capital cost (2.0% risk-free rate, 6.2% equity risk premium, 1.29 beta), 55% payout ratio, a mid-term growth rate of ~17.5%, terminal growth rate of 3.7%. Our PT equates to P/E of 34.5x on F3/28e EPS of ¥136.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



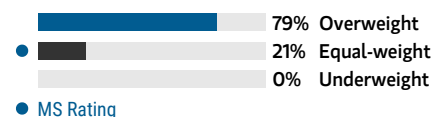
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We assign an EW rating from a relative perspective in the industry.
- We expect increased sales of fiberoptic cables to drive growth.
- The firm has announced spending to add capacity but production capacity could still impose constraints.
- It holds top global share in MPO connectors.
- It also holds top global share in fiberoptic fusion splicers.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Self-help: *Positive*
New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

¥6,400

Share price aligned to residual income model

Profit in fiberoptic cable business grows beyond our expectation, and profit tops the base case by 20% from F3/27. Equates to P/E of 43.0x on estimated F3/28 EPS of ¥149.

BASE CASE

¥4,700

Derived from a residual income model

Expect big contributions to earnings growth from Telecommunication Systems stemming from both company-specific factors and a positive turn in market conditions. We forecast OP of ¥260bn in F3/27, ¥310bn in F3/28, and ¥370bn in F3/29, for a growth rate of +19.3% over that period. Our PT equates to P/E of 34.5x on F3/28e EPS of ¥136.

BEAR CASE

¥2,600

Share price aligned to residual income model

Data center investment slows sharply and profits in the fiberoptic cable business decline YoY. Profit is 30% below the base case from F3/27. Equates to P/E of 22.1x on estimated F3/28 EPS of ¥118.

Risk Reward – Fujikura (5803.T)

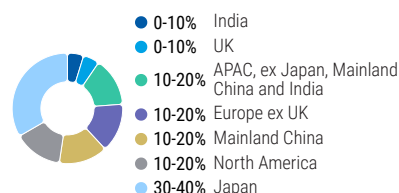
KEY EARNINGS INPUTS

Drivers	2026	2027e	2028e	2029e
Telecommunication Systems OP (¥, mn)	152,729	230,800	277,000	336,800
Electronics Products OP (¥, mn)	7,666	11,000	12,000	12,200
Automotive Products OP (¥, mn)	6,809	6,000	6,000	6,000

INVESTMENT DRIVERS

- Shift to higher added value and higher sales volume (new customer acquisition, increase in existing customer sales, etc.) in fiberoptic cable business
- Capital cost-conscious management

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increase in sales volume on healthier business sentiment than expected
- Faster expansion of fiberoptic cable sales than expected
- Greater yen depreciation than anticipated

RISKS TO DOWNSIDE

- Decline in sales volume on weaker business sentiment than expected
- Delays in price passthrough due to sharp rises in raw material costs and other material costs
- Faster yen appreciation than anticipated

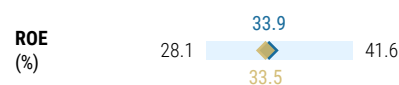
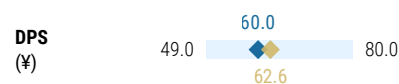
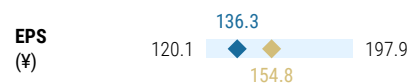
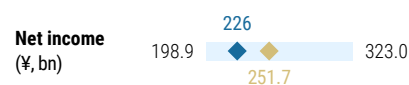
OWNERSHIP POSITIONING

Inst. Owners, % Active 66%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Mar 2028e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Optical Fiber & Optical Fiber Connector Trade Stats

Exhibit 39: Optical fiber & cable export value

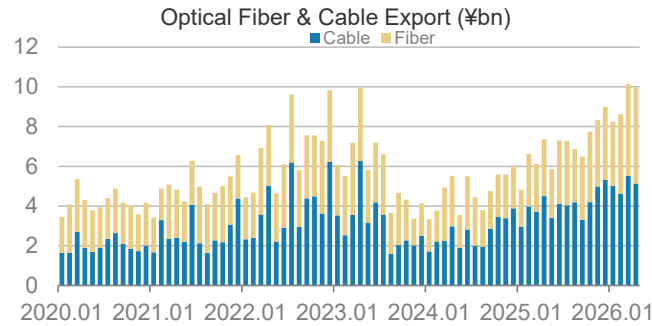


Exhibit 40: Optical cable exports by customs site

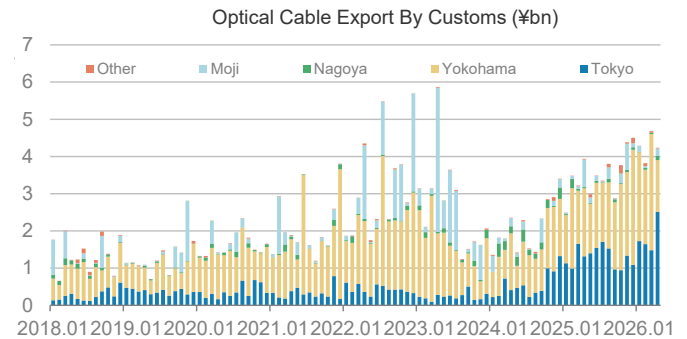


Exhibit 41: Optical cable exports to N. America (from Yokohama/Tokyo Customs)

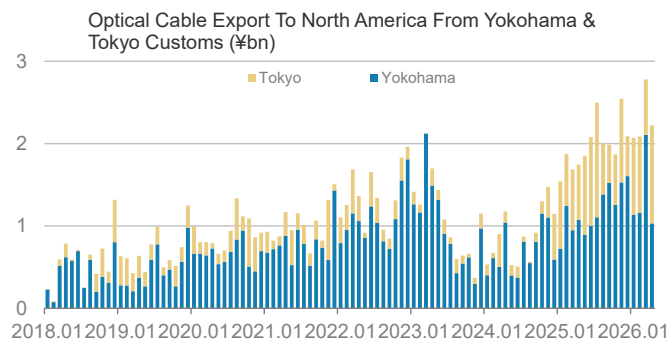


Exhibit 42: Optical cable exports to Western Europe (from Yokohama/Tokyo Customs)

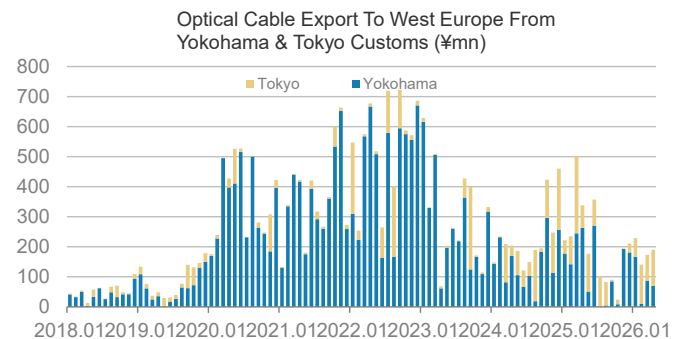


Exhibit 43: Power cable (over 1kV) exports by customs site

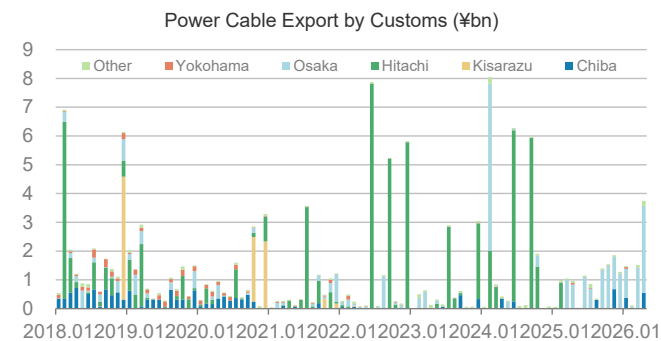


Exhibit 44: Power cable & optical cable exports from Chiba Customs

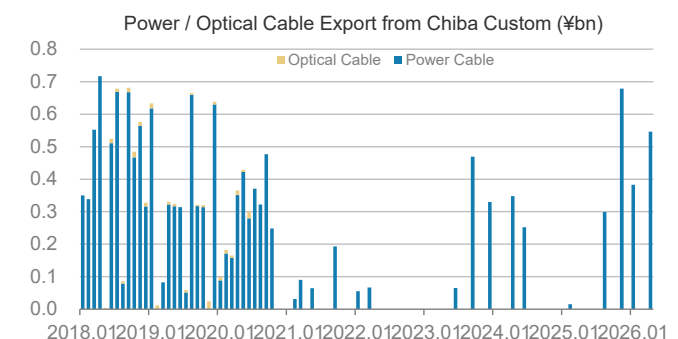
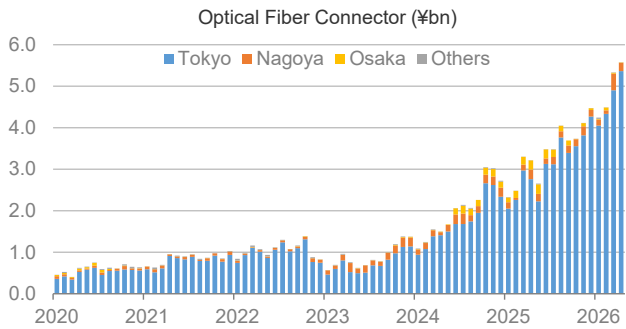
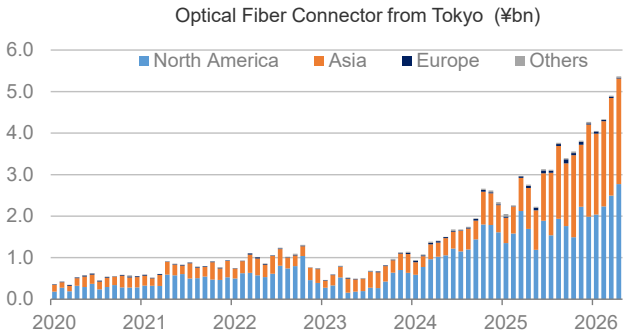


Exhibit 45: Optical Fiber Connector export value



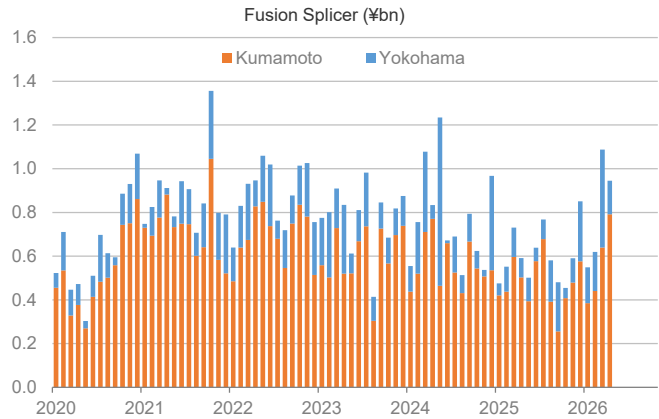
Source: MoF, Morgan Stanley Research

Exhibit 46: Optical Fiber Connector by Location from Tokyo Customs



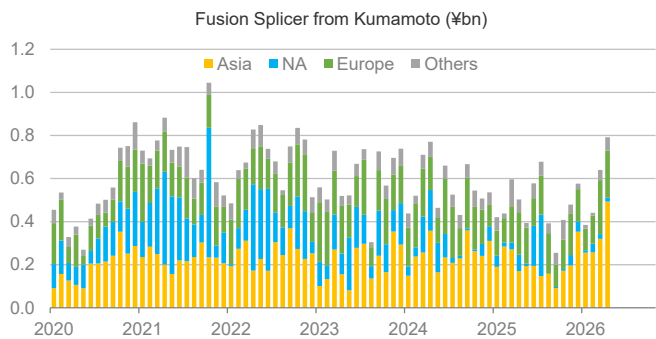
Source: MoF, Morgan Stanley Research

Exhibit 47: Optical Fusion Splicer export value (from Kumamoto and Yokohama)



Source: MoF, Morgan Stanley Research

Exhibit 48: Optical Fusion Splicer export value by Location from Kumamoto Customs



Source: MoF, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the

last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Fujikura (5803.T) - As of 06/11/26 GMT in JPY
Industry : Wire & Cable



Stock Rating History: 6/1/21 : 0/A; 4/8/26 : E/A

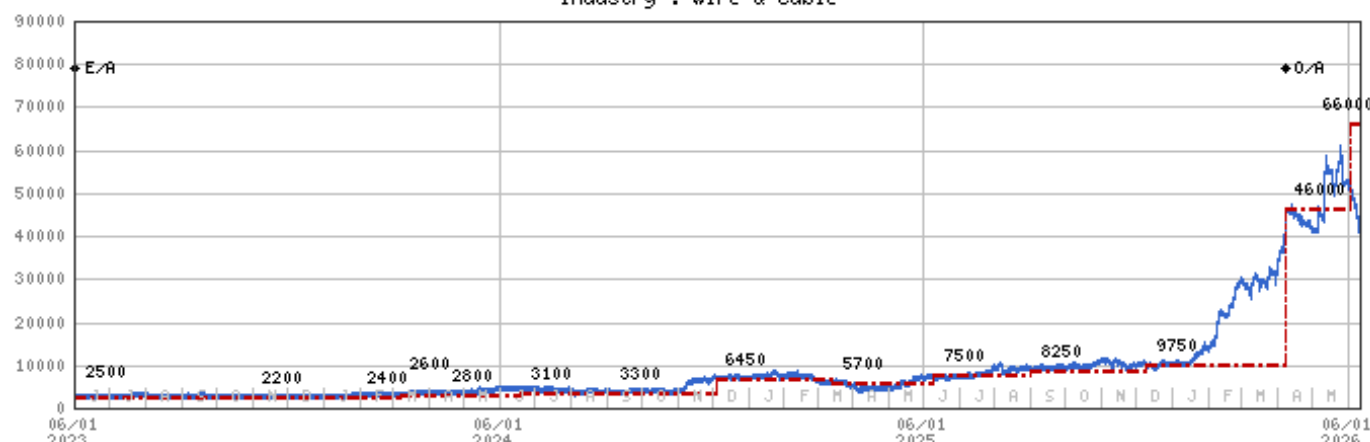
Price Target History: 2/25/21 : 100; 7/7/21 : 105; 9/13/21 : 166.67; 11/9/22 : 233.33; 10/31/23 : 225; 3/13/24 : 400; 4/19/24 : 500; 6/4/24 : 566.67; 8/9/24 : 783.33; 12/4/24 : 1208.34; 3/14/25 : 1333.34; 6/9/25 : 1350; 9/1/25 : 2333.34; 12/9/25 : 3583.34; 4/8/26 : 5200

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
 Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Furukawa Electric (5801.T) - As of 06/11/26 GMT in JPY
Industry : Wire & Cable



Stock Rating History: 6/1/21 : E/A; 4/8/26 : O/A

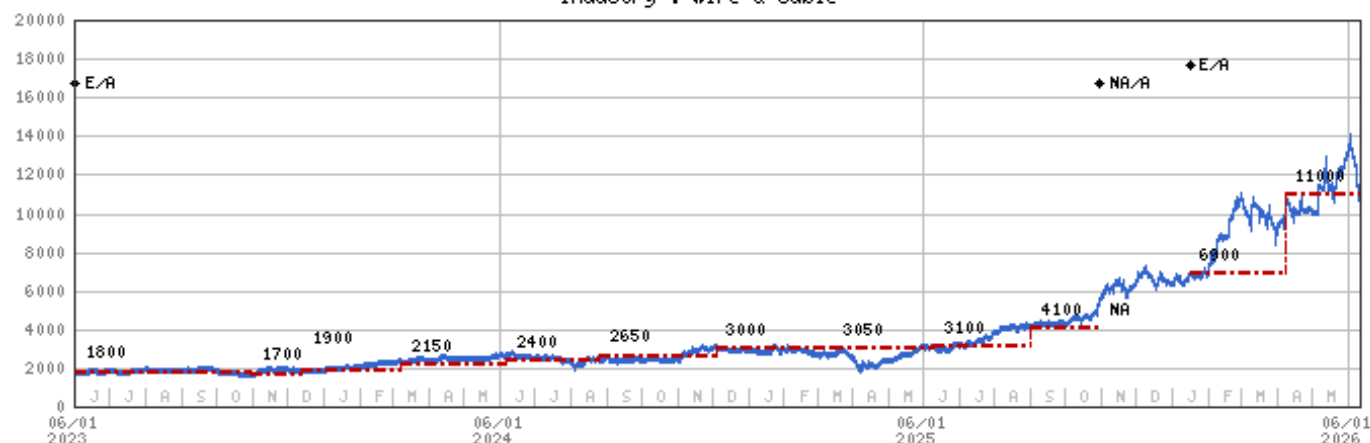
Price Target History: 2/25/21 : 3000; 7/7/21 : 2900; 9/8/21 : 2500; 12/6/21 : 2300; 11/8/22 : 2500; 2/1/23 : 2600; 4/28/23 : 2500; 10/31/23 : 2200; 1/30/24 : 2400; 3/7/24 : 2600; 4/12/24 : 2800; 6/19/24 : 3100; 9/3/24 : 3300; 12/4/24 : 6450; 3/14/25 : 5700; 6/9/25 : 7500; 9/1/25 : 8250; 12/9/25 : 9750; 4/8/26 : 46000; 6/3/26 : 66000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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Sumitomo Electric (5802.T) - As of 06/11/26 GMT in JPY
Industry : Wire & Cable



Stock Rating History: 6/1/21 : O/A; 10/26/21 : E/A; 2/2/23 : NA/A; 5/9/23 : E/A; 10/30/25 : NA/A; 1/16/26 : E/A

Price Target History: 2/25/21 : 2000; 7/7/21 : 1900; 8/28/21 : 1800; 10/26/21 : 1500; 2/1/23 : 1600; 2/2/23 : NA; 5/9/23 : 1800; 10/31/23 : 1700; 12/14/23 : 1900; 3/8/24 : 2150; 6/6/24 : 2400; 8/26/24 : 2650; 12/4/24 : 3000; 3/14/25 : 3050; 6/9/25 : 3100; 9/1/25 : 4100; 10/30/25 : NA; 1/16/26 : 6900; 4/8/26 : 11000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Wire & Cable

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/11/2026)
Yu Shirakawa		
Fujikura (5803.T)	E (04/08/2026)	¥4,142
Furukawa Electric (5801.T)	O (04/08/2026)	¥40,780
Sumitomo Electric (5802.T)	E (01/16/2026)	¥10,250

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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